

Course Book



INTERNATIONAL CONTRACT MANAGEMENT

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UNIVERSITY OF
APPLIED SCIENCES

INTERNATIONAL CONTRACT MANAGEMENT

MASTHEAD

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INTRODUCTION

WELCOME

SIGNPOSTS THROUGHOUT THE COURSE BOOK

This course book contains the core content for this course. Additional learning materials can be found on the learning platform, but this course book should form the basis for your learning.

The content of this course book is divided into units, which are divided further into sections. Each section contains only one new key concept to allow you to quickly and efficiently add new learning material to your existing knowledge.

At the end of each section of the digital course book, you will find self-check questions. These questions are designed to help you check whether you have understood the concepts in each section.

For all modules with a final exam, you must complete the knowledge tests on the learning platform. You will pass the knowledge test for each unit when you answer at least 80% of the questions correctly.

When you have passed the knowledge tests for all the units, the course is considered finished and you will be able to register for the final assessment. Please ensure that you complete the evaluation prior to registering for the assessment.

Good luck!

BASIC READING

Berkel, G. (2016). Contract management. In M. Kleinaltenkamp, W. Plinke, & I. Geiger (Eds.), *Business project management and marketing: Mastering business markets* (pp. 159—206). Springer.

Brett, J. M. (2014). *Negotiating globally: How to negotiate deals, resolve disputes, and make decisions across cultural boundaries* (3rd ed.). Jossey-Bass.

Brunet, A., & Cesar, F. (2021). *Contract management: Contractual performance, renegotiation, and claims: How to safeguard and increase profit margins*. Springer.

FURTHER READING

UNIT 1

Cummins, T., David, M., & Kawamoto, K. (2011). Contract and commercial management: The operational guide (pp. 1—12). Van Haren Publishing.

UNIT 2

Geiger, I., & Krüger, S. (2016). Inquiry evaluation and proposal preparation. In M. Kleinaltenkamp, W. Plinke, & I. Geiger (Eds.), *Business project management and marketing: Mastering business markets* (pp. 55—81). Springer.

UNIT 3

Lax, D. A., & Sebenius, J. K. (1987). The manager as negotiator: Bargaining for cooperation and competitive gain (pp. 29—45). The Free Press.

UNIT 4

Rabl, W. (2016): Project management. In M. Kleinaltenkamp, W. Plinke, & I. Geiger (Eds.), *Business project management and marketing: Mastering business markets* (pp. 277—353). Springer

UNIT 5

Duke, A. (2020). How to decide: Simple tools for making better choices (pp. 25—45). Portfolio.

LEARNING OBJECTIVES

Despite advancing globalization, laws are mainly made by individual nation states. Which rights and obligations apply to a company's transactions is primarily determined by the laws of the country in which it operates. As soon as one company wants to cooperate with a company from another country, the question arises as to which rights and obligations apply. Companies can often determine for themselves which set of laws they want to adopt for their cooperation, especially in cross-border transactions.

The means to this end is the contract: it defines the mutual rights and obligations of the contracting parties. Since these parties usually have different ideas about their respective rights and obligations, the contract must be negotiated. This means that a draft must first be drawn up on which to base the negotiation. If a contract is subsequently concluded, it must, of course, be executed. Finally, the company should draw the right lessons for future transactions. All these activities are summarized under the term "contract management" and clarified step by step in this course book.

The course **International Contract Management** first gives you an overview of the four phases of contract management: offer preparation, contract negotiation, contract execution, and analysis, discussing each phase in detail. In each unit, emphasis is placed on both theory and practice. This allows you to gain conceptual insight into this fascinating topic and learn how it is lived in the real world. Special attention will be paid to cross-border and intercontinental topics because of their particularly multi-faceted nature stemming from diverse cultural backgrounds.

UNIT 1

THE FOUR PHASES OF CONTRACT MANAGEMENT

STUDY GOALS

On completion of this unit, you will be able to ...

- define the term “contract management.”
- identify the objectives of contract management.
- understand why contract management plays an important role for companies.
- identify the most important aspects of contract management.

1. THE FOUR PHASES OF CONTRACT MANAGEMENT

Case Study

Satellites International GmbH is a globally active company that provides services in the field of communication technology. Satellites International GmbH generates 95 percent of its income abroad. However, Satellites International GmbH has had little presence in the Southeast Asian market thus far. To achieve expansion in this region, the company has set its sights on Indonesia, a country of almost 300 million inhabitants with a strong potential for market growth.

Ms. Schmidt has just completed her bachelor's degree in International Management at IU International University and accepted a job offer at Satellites International GmbH. She is now part of the team responsible for developing the Indonesian market. Their first objective is to find a sales partner who can serve the Indonesian market and, ideally, the entire Southeast Asian region.

Ms. Schmidt has no previous experience with conducting business in Indonesia, much less with concluding contracts in the country. However, she has been appointed as one of the contact persons for the Indonesian sales partner, which will continue even after the conclusion of the envisioned contracts. As she has already been informed, she will be responsible for the contract management of these projects, which is also a new responsibility. Ms. Schmidt asks herself the following questions:

- What exactly is contract management?
- What are the goals of contract management?
- Can contract management be broken down into different phases?

1.1 Definition of the Term “Contract Management”

A contract is an agreement between at least two legal parties to bring about a legal consequence. The contract is the most important legal vehicle for shaping one's own living conditions. This applies to companies as well as to individuals in their everyday lives. If you buy bread at the bakery (purchase contract) or visit relatives by public transport (transportation services contract), you rely just as much on a contract as various governments have when setting out the rights and duties relating to the most expensive object ever created by humans, the International Space Station (European Space Agency, n.d.). Of course, it is clear that a contract for the sale of bread is much simpler than the International Space Station Intergovernmental Agreement. In a bakery, we do not use a written contract. Though contracts can vary in their complexity, they are all contracts nevertheless. With

simple contracts, the procedure leading up to the conclusion of the contract is less complicated. When you buy bread, you (usually) do not negotiate price, payment plans, delivery dates, or quality. This is the case for most contracts in daily life.

However, if your purchase becomes more complex, for example, if you want 50 sandwiches for a vegan birthday party, things change. You might seek several offers, haggle a bit about the price, and also clearly specify what fillings should be used. We could rightly say that you are managing a contract in this case. This brings us to the definition of the term: contract management is generally understood to include all planning and organizational activities that serve to design and realization of a contract (Heussen & Pischel, 2014). What exactly, then, informs the design and eventual realization of the contract? Throughout this course, we will focus on business transactions, following the definition given by Berkel: “‘Contract management’ can be defined as the performance of the contract-related tasks that arise in the four phases of project execution. In the last two phases it is also known as ‘claim management’” (2016, p. 162). This script is structured according to these four phases: offer preparation, contract negotiation, execution, and contract analysis. Therefore, contract management does not just include the handling of existing contractual files. The term is much broader and includes all activities related to a contract, from the decision to bid all the way to the end of the contract and the final analysis.

1.2 Goals of Contract Management

The objectives of contract management vary in accordance with the phase in question (Berkel, 2016). When concluding a contract, for example, the main objective is to minimize risks and reach an agreement on the best possible terms (**negotiation management**). During the execution (implementation) phase of the contract, the contractual partners primarily want to ensure that the contractual obligations are fulfilled. This is about enforcing one’s own contractual claims (“what does the other party ‘owe’ me, from a contractual point of view?”) and defending oneself against unjustified claims of the other party (“what do I ‘owe’ the other party from a contractual point of view?”). German speakers will note that usage of the German verb *schulden* (to owe) is factually correct here. In German law, contract law is called *Schuldrecht* (law of obligations). This is the name of the corresponding section of the German Civil Code (BGB) (Bundesministerium der Justiz und für Verbraucherschutz, 2013, Book 2). One side owes what it has contractually promised to the other.

Negotiation management

This is the process of negotiating the contractual distribution of risk and the respective rights and obligations in a contract.

This is the reason why, in the contract execution (implementation) phase, the term **claim management** is commonly used. A party may claim what it deems the other party owes it. In some cases, claim management, as the enforcement of one’s own contractual claims, is distinguished from anti-claim management, which is concerned with the defense against such contractual claims (Plettenbacher et al., 2014). For the sake of simplicity, however, claim management is used herein to include both. The goal at the end of the contract is to take stock and learn the right lessons from the way the transaction was carried out. This requires answering questions such as the following:

Claim management

This is the management of one’s own claims and the counterclaims of the other party.

- What was the overall result?

- What worked and what did not?
- Were our decisions right or wrong?
- What should we continue to do in the future? What could we do differently?

In this last phase, contract management aims to create better contracts in the future. In this sense, the completion of one project is also the beginning of the next project.

1.3 The Phases of Contract Management

There are various ways of approaching the topic of contract management. Following Berkel (2016), this course follows a chronological structure and division into the four phases already mentioned:

- i) Offer preparation
- ii) Negotiation
- iii) Execution
- iv) Analysis

Let us now give a brief overview of these phases.

Phases of Contract Management

The four contract phases are easy to differentiate between. This is because they are based on events that, in ending one phase, usher in a new one. Thus, the complete preparation of the first offer and its transmission to the contractual partner represents the end of the first phase and is the beginning of the second contract phase. From the moment the contract is sent, the contracting party is usually also being negotiated with. Sometimes, this is even the starting point for the third phase, usually when the other side accepts the offer immediately. However, this is almost never the case for important business transactions. When a contract is concluded (usually by signing a precisely negotiated written document), this represents the end of the negotiation phase and the beginning of the contract execution phase. It is just as possible, however, that the execution phase does not begin until later because the parties agree that the contract should only come into effect at a later point in time, for example, once necessary governmental approval is obtained. But even in such cases, the supplier often begins with the execution when the contract is signed, for example, by procuring the necessary materials or awarding subcontracts. The contract execution phase involves either the provision of services or the production of goods. “Mixed contracts”, under which both goods and services are provided, are also common.

When all contractual obligations have been fulfilled, the contract ends. As a rule, this is the case after the expiry of the agreed liability period. However, a contract can end prematurely, for example, through termination by one **party** due to breach of contractual obligations of the other party. If, for example, a company rents business premises from another company, the contract ends as agreed after the expiry of the agreed period (e.g., ten years). If, on the other hand, the tenant fails to pay the rent, the landlord can terminate

the contract before the expiry of that period. The analysis then usually takes place after the end of the contract. The success or failure of a particular project can often only be determined in retrospect, i.e., in hindsight, when all the relevant facts are available. Even if the overall result is judged a success, this does not automatically mean that the right decisions were made throughout (Duke, 2020). Important conclusions can be drawn for the future, even from successful projects.

But there are also plenty of cautionary examples of failed projects. A quick glance at the business press reveals that, time and again, companies have to write billions of euros off as a result (Bruner, 2005). For example, the construction of the Eurotunnel, which connects France and Great Britain, was undoubtedly a successful project, as it connects the capitals of Paris and London and makes them relatively easy to reach by train. However, it should not be forgotten that the construction costs were exceeded by 80 percent and the financing costs by as much as 140 percent. At the same time, passenger demand was overestimated by 50 percent (Flyvbjerg, 2011). While, to the author's knowledge, a second channel tunnel is not planned, there is no doubt that the involved parties can draw valuable lessons from this project for their future infrastructure projects.

In Germany, the construction of Berlin-Brandenburg Airport is certainly the best-known case of a project that has run into major difficulties. The airport opened at the end of October 2020, while, according to the original plan, the project was expected to open thirteen years earlier. When construction began, the costs were estimated at two billion euro. In reality, they turned out to be around 7 billion euros, more than 350 percent higher than expected (Euronews, 2020). Some valuable lessons can certainly be learned from examining how the relevant contracts came about and where they were.

It is clear from this overview that the challenges of contract management vary from phase to phase. As a result, they require a broad set of skills. It is therefore common that various persons are involved throughout the phases of contract management.

Phase I: Offer Preparation

From a business perspective, we often think of an **offer** as the supplier's response to a potential customer's request. It sets out the conditions under which the (potential) supplier is willing to deliver products or provide services. From a legal point of view, the offer is therefore a declaration aimed at concluding a contract. With the acceptance of the offer, the contract is concluded.

When it comes to simple, standardized goods or services with a list price (e.g., books or car repairs), the process of preparing an offer is often just a formality. This changes when the supplier has to respond to specific customer wishes, as is often the case with larger projects. Individualized contracts are characteristic of entire industries, such as construction, mechanical engineering, or manufacturing. Consider our example: Satellites International GmbH certainly does not supply any products "off the shelf". The design of the contract is therefore about much more than the price. As soon as the customer's wishes have to be specifically addressed, the preparation of the offer is a more complex process. In the

Contracting party

This is the legal subject involved in a contract. Both individuals and companies can be parties to a contract, as can organizations of the public sector, for example, when they purchase office materials or medical equipment.

Offer

An offer is a legally binding condition (e.g., quantity, quality, or price) under which a supplier is prepared to deliver.

context of large-scale projects, for example, it is common for contracts, including exhibits, to comprise of several thousand pages. In such cases, the preparation of the offer is cost- and personnel-intensive (Berkel, 2016).

If the supplier is generally interested in a project, the potential supplier often proceeds in two steps: First, they prepare a standard offer which is drawn from standard templates that were pre-prepared. These include important key data and a price estimation. Only when the potential customer agrees to this basic outline in principle does the supplier prepare a detailed and binding offer (Berkel, 2016). First, however, the supplier must decide whether they want to submit an offer (or bid) at all (this is known as the bid decision). Some projects may appear, from the outset, to be less desirable than others for any number of reasons and are therefore not pursued further. This is especially the case for companies that have to deal with a large number of bid requests. They need to focus their attention and resources. A variety of business considerations may come into play, typically weighing the expected costs and benefits, as well as the potential risks, of the project at hand. This is often a highly complex process that requires numbers and probabilities to be made understandable and assessable in everyday language (Lin, 2000).

When it comes to preparing the offer, there are basically two options. The first is to prepare an offer from scratch. It is up to the supplier to prepare the entire offer according to his own ideas. The second is to make an offer that corresponds to a framework which had been set up by the customer: this is called a **tender**. If the supplier acts within the framework of an invitation to tender, the essential contents of the contract are already predetermined. The potential customer thus invites possible contractors to submit an offer with the invitation to tender. It is often technical criteria that lead to compelling customer wishes. These must then be met by the offer. For more details, see Brandt and Franssen (2013). All offers, whether tenders or not, usually consist of a main part and several exhibits (also called “annexes” or “attachments”). After the title of the document (e.g., “Satellite Building and Launching Project Indonesia”) the parties are named and there is often also a preamble, which serves as introduction to the main body of the contract. For example, the preamble in the contract in our case could read as follows:

Tendering

This is often issued by public administration organizations. The tenderer may submit a tender for supplies or services specified in the invitation to tender. A tender therefore invites all interested parties to submit their best offer.



PREAMBLE EXAMPLE

Indonesia Television 1 is an Indonesian broadcasting company which operates a communication satellite. This satellite is to be replaced by a satellite of model XYZ. Satellites International GmbH manufactures satellites, places them in orbit and maintains them. Indonesia Television 1 wishes to purchase from Satellites International GmbH (a) a model XYZ satellite in order to use it as soon as possible, (b) have it properly maintained, and (c) receive extensive training in the operation of the satellite (a, b, and c together: ‘the Services to be provided’). Satellites International GmbH wishes to perform the Services to be performed. The Parties therefore enter into the following Agreement.

The actual main body is the “heart of the contract” (Berkel, 2016, p. 183) and regulates the rights and obligations of the contracting parties (e.g., construction and launch of a communication satellite in exchange for payment of the contract price). The contractual rights and obligations can, according to Berkel (2016), be divided into two parts that may be called “the planned” and “the unplanned” (p. 184). The parties are primarily concerned with determining the mutual rights and obligations that are planned within the framework of the execution of the contract. In other words, it is a question of obtaining the benefits for which the contract is to be concluded in the first place. The parties promise each other to perform these services as agreed. One party’s promise represents its obligation, which is matched by the other party’s right to demand that the promise be kept. In doing so, the parties plan to comply with the agreed upon rights and obligations. The corresponding clauses are therefore referred to as the “planned”.

In addition to regulations what is planned, there must of course also be regulations for the unforeseen (or “unplanned”). These are mainly clauses that address unexpected events, e.g., a defect that occurs after completion. Another topic that particularly concerns the managers of Satellites International GmbH in their expansion efforts are cases of force majeure. How, they ask themselves should one proceed in the event of another global pandemic? In this part of the contract the parties agree how they will handle things for which they had not planned, but which may occur nevertheless. At the end of the contract there are final, somewhat technical, provisions, such as clauses governing the applicable law, place of jurisdiction, as well as term and termination. Even though the main part is the heart of the contract, it is often less extensive than the annexes. The annexes specify the general obligations of the main part in technical and commercial terms (e.g., through construction drawings and detailed payment schedules).

Phase II: Contract Negotiation

The offer preparation phase ends with the submission of the offer. This marks the beginning of the second phase: contract negotiation. When we think of a **negotiation**, we often picture two people in dark suits sitting at a table facing each other, unwilling to budge even a millimeter from their respective demands. This image can represent reality, but it is often influenced by films and is not always accurate. In practice, intransigence (defined as a refusal to compromise (Merriam-Webster, n.d.-a.)) is rarely a promising negotiation strategy.

If you are not prepared to concede anything, you will often not be able to operate successfully on the market, and not just because you may be unable to make deals. Those who only demand and do not make any concessions in return are not a contractual partner with whom one wants to do business repeatedly (Worthington, 2015). Good negotiators look for mutually beneficial outcomes. They do not only think along the lines of “I give you something, hence I lose,” or “you give me something, hence you lose” (although these considerations are valid, too). Rather, good negotiators strive to discover win-win outcomes that optimize the results for both sides. They understand that it is not necessarily the case that what one side wins the other must lose. Furthermore, when we engage in a conversation with the other side, we can often identify issues that are less important to one side than to the other. Once we find two of these, we can engage in a mutually benefi-

Negotiation

This is the joint decision-making process, characterized by the conflicting interests of the parties involved. These conflicting interests must be reconciled for an agreement to be reached.

cial trade-off, which can yield a better outcome than just insisting on the other side making concessions, especially if, in return for a minor concession, one achieves a concession on a more important point (Brett & Thompson, 2016).

Of course, all of this is only possible if one actually enters into negotiations. Those who are not at all willing to negotiate because they do not want to deviate at all from their own position may nevertheless conclude a contract. They may, for instance, be the only supplier of a high demand product, and can simply impose their terms. As a rule, however, they will not be able to discover a potential that might go beyond this and that could only have been revealed in the context of a negotiation. Nevertheless, it is true the party with the greater negotiating power often has to concede less of its own demands. However, it is by no means the case that you only negotiate when you sit across from one another. Although it is useful to talk face to face, this does not mean that this is the only way to conduct a negotiation. Often, a large part of the negotiation is initially conducted in writing. Particularly in the case of larger projects, it is also common to divide the project into smaller parts and negotiate these separately (Lax & Sebenius, 2012; Heussen & Pischel, 2014).

There is no general rule here. Very few companies have specific rules on what the negotiation process should look like. They usually leave this to the negotiators themselves. At most, there are guidelines regarding content, which result from a risk quantification, for example. The choice of the right strategy is left to the negotiators at the table. As we will see in more detail later, two basic approaches can be distinguished: distributive strategy and cooperative strategy. In distributive strategy, the focus of the negotiator is on claiming as much benefit (or value) as possible for themselves. This strategy is often also known as a “value distributive” strategy. This contrasts with the cooperative strategy (also called “value-creating” strategy), where the focus is on creating joint benefits. The two approaches are often metaphorically illustrated by the distribution and enlargement of a pie. In business, both are usually called for. The aim is both to enlarge the common “pie” and to secure as large a slice as possible. Therefore, a good negotiator will try to find ways to “expand the pie.”

Moreover, the negotiation regularly takes place in two directions: There is the external negotiation (for example, between the supplier and the customer), and the internal negotiation (between the negotiator and their management). This shows that the simple picture of two people sitting opposite each other is often too simple. Usually, both sides negotiate (behind the scenes, so to speak) at a second table with their own stakeholders about what they should offer to and demand from the other side. In the internal process, **risk quantification** and the approval of the contract are of great importance. The latter of these straightforward: it is simply the final “OK” of the decision maker (or the decision-making body). The former, however, requires a brief explanation. A risk quantification analysis is often carried out by the supplier to answer the question of whether they want to submit a bid at all.

Risk quantification

This is the calculation of a numerical value of the risks involved with a project or contract.

But even after that, the customer will usually make demands in the course of the negotiation that entail additional risks. These usually lie in the area of the “unplanned”. The supplier must now quantify these additional risks that the customer expects them to assume. This way, they can clearly determine the risk they are exposing themselves to if they

accept the demand. Therefore, the internal process of risk quantification usually accompanies the negotiation until its final conclusion. For example, liability makes a big difference to Satellites International GmbH: If it is only liable for direct damage resulting from defective products during a period of one year, the liability is manageable. However, it may have a more extended liability in mind. For instance, the possibility of unlimited liability for at least two years or of liability for damages caused by subcontractors, meteorite impacts, or space debris. To determine the risk numerically (quantification), Satellites International GmbH must carry out the following analysis (for more details about risk quantification, see Berkel (2016)):

1. Can one or more risks be identified?
2. What is the probability of occurrence of the risk (expressed as a percentage)?
3. What is the expected level of costs if the risk materializes (expressed in a monetary amount, i.e., for a German company usually in euros)?
4. What is the result of the product of (ii) and (iii) and does the amount represent a significant risk? If the answer to this point is “yes”, then the question arises:
5. What possibility of risk minimization (or, ideally, risk exclusion) exists?

Quantification is a very important tool for decision-making. If the risks are not quantified, management cannot make a decision on the basis of objective aspects (informed decision). In our example, Satellites International GmbH has to assess the probability of a meteorite impact and the amount of resulting damage if this occurs. Only in this way can they make an informed decision as to whether the customer’s request for corresponding liability can be met. If the additional risk is accepted, this usually occurs at the end of the internal negotiation (**internal approval**). In companies with more than one level of management, there will always be decisions that can only be taken by the higher level of management. Which level can make which type of decision depends on the internal division of responsibilities. This is usually determined by the type of risk: the higher the risk, the higher the management level.

Internal approval
This is the final approval given by management. Without internal approval, negotiators have no mandate to conclude a contract.

Here, too, there will often be “internal negotiations” within the company, because lower management levels may be more concerned with closing deals, while higher management levels have to keep an eye on the “big picture”, especially company-wide risks. The internal exchange is therefore an ongoing, partly informal (e.g., telephone conversation) and partly formal (e.g., presentation to the respective higher management level) exchange. Once the internal approval process has been completed, the contract can be signed. Who in the company has the power of attorney (i.e., the legal authority) to sign the contract also depends on the corporate governance structure of the firm.

Phase III: Execution

In the context of contract execution, we find both issues that were planned for and issues that were not. While the planned is typically clearly defined in the contract, the unplanned is often a problematic issue because it is not always possible to identify all eventualities in advance and to regulate them in the contract. Of course, the fewer provisions the parties have made for the “unplanned”, the greater the problem. For example, in day-to-day busi-

Handshake agreement

This is a contract that is concluded verbally by the parties as they shake hands.

Main obligations

These are the essential obligations for the fulfillment of a contract.

ness or pure “**handshake agreements**” between companies without a written contract, there are often no provisions. Moreover, the “unplanned” (which both parties do not want to happen) offers significantly more potential for conflict.

The execution of the contract can be broadly divided into two main phases. The first phase is the actual performance of the contract, also referred to as the fulfillment of the **main obligations** (or main duties). Here, the supplier produces the work or provides the service, depending on what is contractually agreed. In our example, this is the production and launching of a communication satellite. By nature, the primary obligations vary from contract to contract. Acceptance often occurs at the end of the main obligation(s): the customer accepts and takes over the work or services if the supplier has fulfilled them largely (if not fully) in accordance with the contract. This does not mean that all of the work has been carried out without any deficiencies. In fact, there is often a phase in contract management during which the supplier may have to rectify defects that have already been identified during acceptance. By accepting the work, the customer declares that, from their point of view, the supplier has now fulfilled their principal obligations.

This is followed by the second phase of contract performance: the warranty period. The duration of this phase can be derived directly from the law. However, the parties often agree on more specific regulations in the contract. During this phase, nothing more is planned, because the work has already been accepted. The contractual partners hope that everything will be in order, as the supplier naturally wants to deliver their products and services free of defects. However, contrary to what is sometimes assumed, the customer also has no vested interest in finding defects, as, even if the supplier has to take responsibility for defects, these lead to problems for the customer as well. Of course, problems can arise earlier than this. As soon as the contract comes into effect, unplanned events can occur and give rise to claims against the other contracting party. If, for example, the customer does not allow the supplier the necessary access to the construction site (because they have not completed the necessary preparatory work), the supplier may claim additional costs arising from this (e.g., for the temporary storage of building materials). In addition, the time the supplier has to complete the work shall be extended accordingly.

It should be noted here that, from the point in time when the contract becomes effective, a completely new phase occurs in the context of the contract: the claim management phase. Berkel (2016) describes claim management as “the sum of all measures [...] with which one enforces or defends contractual claims against the contractual partner” (p. 197). Claim management therefore goes in both directions (both the making of, and the defense against, claims) and is also used by the both supplier and the customer. Often, the claims of the contracting parties are diametrically opposed. The customer demands improvement from the supplier for a defect. As long as the defect has not been remedied, the customer withholds payment of the full price. The supplier, on the other hand, does not see any defect and demands full payment.

Often, the contracting parties can reach an agreement without the involvement of a third party (for general information on conflict avoidance see Heussen & Pischel (2014)) If this is not the case, the conflict must be resolved with the help of a third party. If the parties to the contract have not agreed on a special dispute resolution mechanism, the dispute is decided by the public courts of law. Often, however, the contracting parties have made

special agreements for the case of disputes. As an alternative to the public courts, courts of arbitration are also available to the parties. These are private courts whose composition and procedure can be agreed upon by the parties in arbitration agreements. The main advantage of arbitration courts is that the proceedings conducted there are not open to the public. In addition, experts, e.g. engineers, can be appointed as arbitrators. They may have more expertise on the matter at hand than lawyers.

Another alternative is mediation. Here, too, a neutral third party is called in. Unlike the arbitrator, however, the mediator does not decide how the dispute should be resolved. Rather, their task is to support the parties in their own search for a solution. Both arbitration and mediation are commonly referred to as alternative dispute resolution methods precisely because they are alternatives to proceedings before state courts. (There are also other methods of alternative dispute resolution that cannot be discussed in detail here. If interested, see Bock and Zons (2021) for an overview that is relevant to more than just production plant construction).

Arbitration agreements (or a mixture of an arbitration agreement with another method of alternative dispute resolution) are mainly used in cross-border contracts (White & Case, 2018). This includes the possibility of recognition and enforcement of arbitral awards abroad through the “New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards.” As of December 2020, more than 165 states had ratified the New York Convention, so that arbitral awards can be enforced practically worldwide (New York Arbitration Convention, n.d.). The United Nations Convention on International Settlement Agreements Resulting from Mediation (hereinafter the “Singapore Convention”), which has been signed by over 50 states as of December 2020, regulates the cross-border recognition of settlements resulting from mediation (United Nations Commission on International Trade Law, n.d.). Experts expect that this will significantly increase the attractiveness of mediation as a dispute resolution mechanism (Sippel, 2019).

Phase IV: Contract Analysis

The contractual relationship only ends when the liability for material defects has expired. As briefly mentioned above, the duration varies from contract to contract. In most cases, the contractual liability of the parties ends altogether at that point. It is not to be expected that anything unplanned will occur then and the planned has already been fulfilled. As mentioned above, an analysis should be carried out after the end of the contract. Each contracting party should draw a conclusion for itself and clarify in detail what went well and what went badly in the first three phases of the contract. Even if this process is basically internal, it does not have to be limited to that. In particular, it is conceivable, for example in the context of information gathering, that one talks to the counterpart and lets their experience flow into the analysis. It may well turn out that one gets very valuable feedback from the (now: former) contractual partner. Furthermore, it may be advisable to work out “lessons learned” together—especially if the contracting parties want to continue working together in the future.

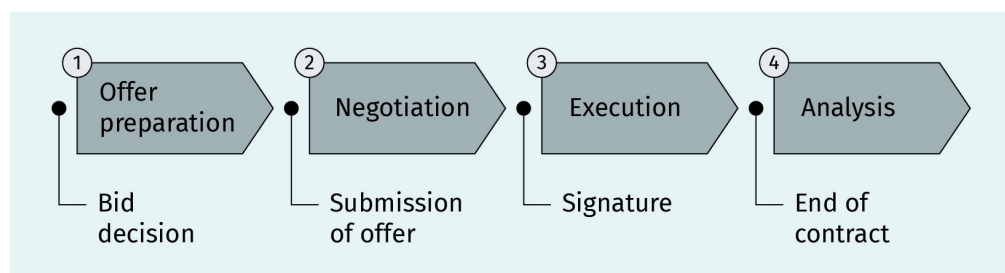
Many companies make the mistake of only carrying out an analysis when something has gone wrong. If the outcome of the contract is positive, there seems to be nothing to be gained from an analysis. But this is a fallacy, because even then one or more decisions

Ex ante and ex post

When decisions are made “ex ante” (before we can know their results), this decision-making can be analyzed “ex post” with the benefit of hindsight.

may have been wrong. It also happens again and again that a decision that is correct in itself only turns out to be unwise in retrospect. In such a case, no one has made a mistake, even if the result is bad. Nevertheless, one should learn from this for the future. In **ex post** contract analysis, one can greatly improve one’s own decision-making processes. Experience shows that even small improvements in the low single-digit percentage range make a big difference. This is because decision-making in the company improves for all future contracts. This ultimately has a very big impact on the company’s own success and is what makes contract analysis so important.

Figure 1: The Four Phases of Contract Management



Source: Berkel (2016), p. 179.

1.4 Contract Management: Why?

Many companies do not consciously engage in contract management. Smaller companies in particular are of the opinion that legal quibbles only distract from the actual task. However, this view is usually too short-sighted: contract management includes all contract activities. Even if a single trader orders a kilogram of coffee online to serve business customers, this is contract management in the broadest sense (albeit in a simple form). Whoever is engaged in business is thus also engaged in contract management. However, the importance of contracts in business goes even deeper. To put it bluntly: if you don’t conclude contracts, you don’t have business.

Private autonomy

This is the right to organize one’s private legal relationships according to their own decisions.

The business model of every company is realized precisely in the conclusion of contracts. Through contracts, the participants in economic life realize their **private autonomy**. In order to meet the business needs of a company, contracts are required. Those of the opinion that “legal stuff” only makes it more difficult to do business should rethink their attitude: good contract management can bring greater business benefits. Without professional contract management, one often assumes greater risks and realizes lower benefits than would have been possible. In the end, economic success suffers as a result.



SUMMARY

This unit gave an initial overview of contract management. Contract management starts when the supplier learns about a project. When the supplier takes a positive bid decision and prepares an offer, they usually do so in line with the structure of the contract. If the customer is interested in pursuing the offer, they will enter into negotiations with the supplier.

As a rule, the contract begins to run when it is signed. This is when the execution phase begins. Both sides want to complete the project. Of course, the process is not always smooth. Especially in larger projects, deviations from what was planned are to be expected. Contracts that do not contain precise rules on how to proceed in such cases often cause difficulties. We encounter contract management in this phase as claim management. If the assertion of one's own claims does not lead to an agreement, it takes the form of conflict management. The execution phase ends with the expiry of liability periods.

Ideally, one should analyze what went wrong during the first three phases and what worked well. This makes it possible to do better in the future. Each improvement may have a positive impact on the company's profitability.

UNIT 2

PHASE I: OFFER PREPARATION

STUDY GOALS

On completion of this unit, you will be able to ...

- describe the conditions under which companies decide to submit an offer.
- understand how a contract is structured.
- recognize the parts into which a contract can be roughly divided.

2. PHASE I: OFFER PREPARATION

Case Study

Peter has recently joined Satellites International GmbH and has been made responsible for managing the contract of an upcoming project. His supervisor has already informed him that he and several colleagues will be responsible for preparing the offer for the “IndoSat” project. He is told that management has already decided that a detailed offer will be submitted.

The IndoSat project is a communication satellite project for the television station Indonesia Television 1. Peter is told this project will take a few weeks. Once the bid has been completed, he will devote himself to other projects in the Southeast Asian region.

Although Peter is looking forward to this project, many things are new to him. He asks himself the following questions:

- Why was the management involved here at all? Isn't the preparation of an offer a rather standard procedure?
- How can the preparation of a single offer take several weeks?
- What steps are to be taken in preparing the offer?

2.1 The Bid Decision

The “bid decision” is a supplier's decision to submit a bid for a specific project. Those who are not familiar with complex contracts may assume that this is not a special step, as the decision can be made seemingly quickly. However, this is often a rather complex process and is of great importance to the firm and its contract management. The reason for this is that any further activity becomes superfluous if the decision is made not to submit a bid. If this happens, the project will not be pursued any further. The supplier will then deal with other projects instead. Furthermore, the bid (or no-bid) decision usually requires the cooperation of several individuals. The decision is not made on the basis of gut feelings, but is well thought through.

When does a supplier decide to submit a bid? To answer this question, it is useful to examine the reasons a supplier may decide not to submit a bid. The expected project price plays an important role. If, by taking the project risks into account, a sufficient profit cannot be reasonably expected, the supplier will not submit a bid. However, there are other exclusion criteria besides the monetary. For example, if the supplier is already involved in a large number of projects and has no more available resources, they will not submit a bid. The same can apply if the distance to the project location is too large or if the political situation at the project location is too instable. It is also possible that a potential customer has such a bad reputation that the supplier must refrain from making an offer. Incompatible company values between a supplier and a potential customer, or even incompatible

ethical values of founders can also come into play. Imagine, for example, that Satellites International GmbH has made the principled decision to only manufacture satellites for non-military purposes. The credo of its pacifist owners may be to not support military projects. In this case, even if an incredibly high profit margin was to be expected from a military project, the company would choose not to submit an offer. Thankfully, none of these criteria are applicable in our scenario. If the supplier is, in principle, interested in a project, two topics are particularly important for them to consider: the probability of project realization and the probability of being awarded the contract.

The **probability of project realization** concerns itself with the realization of the project by the respective customer. Many projects are still “in limbo” when the supplier submits their bid. If, for example, a country wishes to launch its first satellite, but would require a World Bank loan, the project realization probability would depend on this financing. The supplier would then have to estimate how likely it is that the loan will actually be granted. It is clear that such an assessment is often difficult for the supplier to make, not least due to a lack of reliable information about the relationship between customer and financier. However, in large infrastructure projects, customers often have to secure financing for the project to go ahead. For example, external assistance from development banks, e.g., the World Bank, the European Investment Bank (EIB), or the German Investment and Development Company (DEG) is often required for projects in emerging economies to be realized. The supplier then has the challenge of assessing how realistic such financing is (for more information, see Deutsche Investitions- und Entwicklungsgesellschaft (2021)).

Probability of project realization

This is the likelihood that a particular project will be carried out by the customer.

Furthermore, the supplier is usually a customer of other companies. The general contractor of a large construction project, for example, may not provide all services themselves. Subcontracting at least some aspects of the work is standard. In assessing their own project realization probability, these subcontractors must therefore assess not only the likelihood of the project going ahead as such, but also how likely it is that their customer—and not a competing group of a general contractor and its subcontractors—will win the project when it is realized by the end-customer. In sum, the likelihood of project realization can only ever be assessed in the specific individual case.

The **probability of being awarded the contract** only comes into play when the project is realized. It determines the likelihood that the respective supplier can prevail against its competitors. The price is certainly a crucial aspect, but is typically not the only deciding factor. Other considerations, such as the reputation of the supplier and their willingness to assume risks, also play an important role.

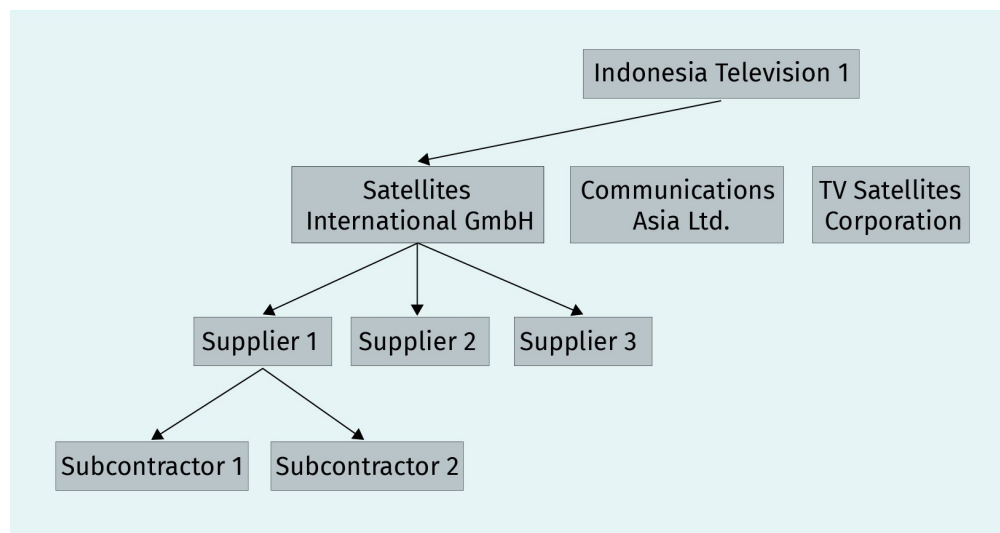
Probability of being awarded the contract

This is the probability that the supplier will prevail over all other bidders (i.e., companies that submit competing bids). It must be assessed by the supplier on a case-by-case basis.

In our example, Satellites International GmbH considers participating in the tender for the construction and operation of a broadcasting satellite for Indonesia Television 1. Indonesia Television 1 has no experience in building satellites and therefore seeks to outsource that job to a general contractor. Luckily, this is entirely in line with the objectives of Satellites International GmbH. However, Satellites International GmbH cannot provide all the required services itself, so will therefore work with several sub-contractors if it is awarded the contract. The following figure illustrates the general contractor-subcontractor constellation. The sub-contractors are simply called “Supplier 1”, “Supplier 2”, and “Supplier 3”. Supplier 1 itself has two further sub-contractors.

There are two other companies competing for the project, Communications Asia Ltd. and TV Satellites Corporation. They also will submit an offer as general contractors. The management of Satellites International GmbH assumes that the subcontractor structure of its competitors is similar to its own.

Figure 2: Subcontractor Structure: Indonesia Television 1



Source: Sippel (2021).

If they were to be successful, Satellites International GmbH would become the supplier of Indonesia Television 1. At the same time, it would become the customer of suppliers 1, 2, and 3. Supplier 1 would, in turn, become the customer of sub-contractor 1 and sub-contractor 2. Notably, for the general contractor to be able to submit its offer to the potential customer, all the relevant subcontracts need to be in place (at least, in principle); otherwise, a situation could occur where a contract is rewarded to a company that does not have the necessary supplies to fulfill its role. From supplier 1's point of view, the probability of project realization is the probability that Satellites International GmbH will be chosen as general contractor by Indonesia Television 1. If supplier 1 still has to compete with suppliers 2 and 3 for the subcontract with Satellites International GmbH, the probability of being awarded this contract depends on the merits of its own offer vis-à-vis the offers of its competitors.

Both the probability of project realization and the probability of being awarded the contract are influenced by a variety of commercial and technical factors. These factors should not be looked at in isolation. Instead, they combine to form contractual "packages" that must be assessed in their entirety. For example, a more expensive offer with a longer warranty and additional maintenance services may be more attractive than a cheaper but less comprehensive offer in the eyes of the customer. The opposite may also be the case. Similarly, if a supplier can promise the monthly operating costs of a power plant not to exceed 1 million euro per month, but their competitor can only promise a cap of 1.5 million euro per month, the offer of the first supplier may be more attractive, even if the contract itself is more expensive. This depends on how the customer values the different components of

the package. A customer who is interested primarily in the long-term outcome may favor such an offer, while a customer who is mainly concerned about the initial financing may not.

In general, even a more expensive construction project can be **amortized** through cheaper operation in the long run: the initial cost can be spread out over the years of operation of the project. Let's say that Satellites International GmbH makes an offer to Indonesia Television 1 for the construction of a communication satellite, which is to be operated for 15 years. Communications Asia Ltd. can only promise a lifetime of ten years. This five-year difference (a 50 percent longer operating life) may justify, in the eyes of the customer, a significantly higher price. Many other criteria, such as the time to completion, technical reliability and efficiency, previous business experience, or even political factors, can also play a role in deciding which company is awarded a contract. It is not possible to devise a list of applicable factors *a priori*. The supplier has to make its assessment on a case-by-case basis.

Amortization

This is the spreading out of payments over an agreed period.

Another point that every supplier has to consider in the bidding process is the inherent risk of a project. Even a project with an extremely high profit expectation, may not be pursued if these risks would endanger the company's very existence. As an example, consider the unlimited liability usually expected of the contractor in nuclear energy projects. Even in less drastic cases, as a general rule, companies must consider the risk of a project not going as planned when making their bid decision (Berkel, 2016). In conclusion, whether or not a bid should be submitted can only be answered through a case-by-case decision making process. This can be complex and may take some time.

2.2 The Structure of the Contract at a Glance

We conclude many contracts every day. Not all contracts must be made in writing, and, in reality, not many are. Purchasing bread at the bakery or a beverage at the supermarket constitutes a binding contract, even though these contracts are concluded orally. Unless the law stipulates a specific form of contract execution such as in writing or by notarization, people and companies are free to conclude contracts in any form they like (Heussen & Pischel, 2014).

This freedom does not apply only to goods or services in daily use. In principle, the form of the contract depends on the type of legal transaction (i.e., the type of contract). As a rule, in most jurisdictions in the world, purchase contracts are form-free, regardless of whether it is (inexpensive) bread at the bakery or an (expensive) car. The situation is different in many countries for the purchase of land, for example. Here, a notarized form is often required. Services can also usually be agreed upon without any formalities.

Even in large projects, a contract could theoretically be concluded verbally. In practice, however, this would cause great difficulties, due particularly to the fact that not everything can be discussed orally (technical details, for example, can be difficult to discuss

orally). In addition, without a written document, the contracting parties would no longer be able to clearly determine what was actually agreed when executing the contract and even more so in the event of a dispute. For these reasons, written contracts are the standard in trade and service transactions between companies in many countries. It should be pointed out, however, that this is true to a lesser extent in many Asian countries in comparison to the West. Asian countries have a long tradition of oral contracts and may view Western wishes for formalizing all details of the transaction as overly legalistic (Benoliel, 2013). Of course, the Western assumption that East Asian cultures are fairly homogeneous is incorrect, as there are considerable differences in business and contractual preferences among, for instance, the Chinese, Japanese, and Korean cultures (Lee et al., 2012). However, in many of these cultures, contracts may be seen less as binding agreements for all future eventualities and more as a starting point for a collaborative venture (Benoliel, 2013).

No two contracts are the same. They can differ not only in terms of their parties, but also in their content, i.e., the mutual rights and obligations of the parties. This is especially true if the goods or services to be provided are not standard: the more specific the needs of the customer, the more specific the contract. A contract must be tailored to the needs of the specific customer. Comparing contracts is therefore not always easy. It is obvious that a contract for the construction of a satellite is quite different to a contract for the construction of a power plant or the provision of consultancy services. Nevertheless, as Berkel (2016) explains, all contracts that cover business transactions share a common structure.

Most contracts consist of a main body and various exhibits, annexes, or attachments (these three terms are used interchangeably here). The main body of the contract typically consists of

- the title,
- the contracting parties,
- the preamble,
- the “planned”,
- the “unplanned” and
- the final provisions.

The exhibits may be included in the same document as the main body of the contract. They may also be placed in separate digital or physical documents or folders. Although this may seem surprising some readers, the main part of the contract is often less extensive than its annexes. These are usually full of details, such as technical specifications or import regulations that have to be observed by the parties. This varies greatly from contract to contract depending on what the object of the contract actually is.

Let’s look at our Satellites International GmbH case study to illustrate this point. The customer has very clear expectations when it comes to the technical characteristics of the desired satellite. They want a specific model and expect a whole range of detailed specifications to be met. Let’s say the customer wants to purchase a satellite of the type “XY.” The corresponding clause in the main body of contract may refer to a technical exhibit (often called “scope of supplies” or something similar), in which the details of the satellite are specified. Upon entering into this contract, the supplier would then promise to manufac-

ture and deliver the satellite according to these exact specifications. If the manufacturer were to erroneously deliver a satellite of the type “ABC” instead of “XY”, then they would be in breach of its contractual obligations. At the same time, not even every satellite of type XY may comply with the contract. The exhibit may very well contain further specifications, such as the mode of operation or energy consumption levels, which must then also be fulfilled for the supplier to be compliance with the contract. This is the exact purpose of these exhibits—to clarify the object of the contract for both parties.

The level of detail that should be found in the main body of contract is a question of the legal system under which it operates. This is usually tied to the place of business of the parties. Companies that operate in the legal tradition of continental Europe (i.e., continental Europe, most of South and Central America, and a large part of Africa and Asia) usually require less extensive contractual wording, and hence are often a bit “slimmer” than contracts that are concluded between companies under the Anglo-American legal system. The former of these legal systems are known as “civil law” jurisdictions, while the latter are called “common law” jurisdictions. In civil law jurisdictions, the contract is mostly meant to describe abstract principles only. These principles are formulated to capture all individual scenarios that may arise. The contract is then interpreted by applying these abstract principles to these specific cases. This approach can lead to somewhat briefer contractual documents.

By contrast, the common law jurisdictions of the United Kingdom, the United States of America, Ireland, Canada, Australia, New Zealand, and several countries in Africa often rely in their contracts more on the description of specific scenarios than on abstraction. Here, contracts are written with the aim of explicitly addressing all material scenarios that can arise, hence usually leading to larger documents. Both jurisdictions therefore pursue the same objective (to cover all relevant future scenarios), but they do so by choosing different approaches.

In some parts of the world, the “Anglo-Americanization” of international transactions is evident. Contracting parties may choose to submit their contract to the laws of one of the countries named above, even if they do not have their seat in a common law jurisdiction. Regardless of the jurisdiction in which the contract is based, the language of many international contracts is often English. In preparing the offer, and in managing the contract in general, it is imperative to work in one language. If documents in multiple languages exist, the parties must determine which language version should prevail in interpreting the contract. Often, this will be the English language copy, with translations into local languages acting as a supplement.

Regardless of the language use, or the jurisdiction followed, it is recommended to include the rights and obligations of the parties where they belong (i.e., the main body of the contract). The exhibits are meant to specify but not stipulate these rights and obligations. It is not desirable or practical to “scatter” them across the contractual documents. If the rights and obligations are scattered across the contract, it is very tedious to determine what they actually are. A good contract manager therefore avoids unnecessarily complicated constructs. They attach importance to a clear structure of the contract, as suggested above. This helps to avoid gaps, misinterpretations and misunderstandings (Heussen & Pischel, 2014).

2.3 The Contract Components in Detail: Title, Preamble, Planned and Unplanned, Final Provisions

We distinguish between the title of the agreement, the naming of the contracting parties, the preamble, the “planned”, the “unplanned”, and the final provisions.

The Contract Title

The freedom of form allows the parties to choose the contract title that seems best to them. Even if the construction of a satellite would, admittedly an extreme example, be called “inheritance contract”, such inappropriate title does not change the rights and obligations of the parties (even though it may call into question their sense of humor). And these arise from the contract itself. The title can, however, provide information as to how to interpret the contract. It is therefore highly recommended that the title unambiguously and accurately reflect the type of contract. A good contract manager will choose to approach this question practically and choose a descriptive title (Berkel, 2016). It should also be borne in mind that an unclear contract title may not be problematic for the drafters themselves. For outsiders, however, this may be different. Just think of the employees of the contracting parties who are not directly involved in the drafting of the contract but will later be involved in its execution. An inappropriate title can easily cause confusion that can easily be avoided.

In practice, many drafters choose a simple title along the lines of “Contract for [project name].” While it may not be easy to determine the specific type of contract, it is usually clear to everyone involved what the project is about. Determining the exact legal categorization of the contracts, e.g., a purchase contract or **service contract**, may be complicated but is often of only theoretical value.

Service contract

This is a contract under which a contracting party agrees to provide certain services. The party receiving these services agrees to provide remuneration as agreed upon.

Let us stay with International Satellites GmbH and the introductory example. If International Satellites GmbH sells a satellite for usage within the IndoSat project, this is a purchase contract. It may also be called “contract of sale”, which only describes the transaction from the point of view of the other side, namely the seller. But what if International Satellites GmbH is also responsible for bringing the satellite into orbit? The costs for this could amount to several 100 million euros and perhaps even exceed the price of the satellite itself. Does the original purchase contract now become a service contract because the main service is the launch of the satellite? Would this affect the nature of the contract? And would that nature be affected further if International Satellites GmbH also was to provide extensive training services to the customer?

As a rule, companies do not want to deal with questions of this kind because the title of the contract has no influence on the rights and obligations of the parties anyway. Already at this stage, possible points of dispute between the parties could arise because they cannot agree on the name. Even if the services to be rendered here are factually described

(e.g. “Contract for the Construction, Sale, Provision, and Launching into Orbit of a XYZ Satellite for the ABC project”), the result would be a rather unwieldy contract title. The parties may therefore prefer a simple title, such as “Contract on the IndoSat Project”.

The Naming of the Contracting Parties

After the title of the contract, the contracting parties are listed. To some, this may seem like a mere formality—after all, it seems clear who the contracting parties are. In practice, however, it is not always that simple. Particularly in international legal transactions, two or more companies in a **group of companies** (often a multinational parent company and the local subsidiary) cooperate in negotiating the contract. Then the question may well arise as to which company will actually be party to the contract. And this question may not be as easily answerable as it may seem.

Group of companies

This is a combination of the controlling company and one or more dependent companies that forms an economic unit under management of the controlling company. The individual companies are legally independent but economically dependent on the controlling company.

Let us assume that Satellites International GmbH establishes a subsidiary in Indonesia (“Satellites International Indonesia”). The representatives of the parent company and the subsidiary jointly negotiate with Indonesia Television 1. In addition, Satellites International GmbH also requires a bank guarantee from Indonesia Television 1 to secure the payment of the price. The guarantee is provided by the Indonesian Ministry of Broadcasting because it has a political as well as a financial stake in the project and can therefore offer more attractive terms than a local or international bank could. Who, then, are the contracting parties? Representatives of all three organizations were always present at the negotiation table. But which of them is concluding the contract, and on whose behalf? Are only Satellites International Indonesia and Indonesia Television 1 parties to the contract? What about Satellites International GmbH, the mother company which was also involved in the negotiations? Could it be that the Ministry of Broadcasting itself has become a party to the contract by providing the bank guarantee? Finally: does the situation change if high-ranking representatives of the ministry were also involved in the negotiations?

Questions like these cannot be answered in general terms *a priori*. The answer depends on the individual case, and the “architecture” of the transaction at hand. In a scenario like the one just described it is probable that the customer insists on making the mother company of the local supplier a party to the contract as well. This would double its ability to enforce the agreed upon provisions, because now they could turn to either one of the two in case of claims. Financing entities are typically not contractual partners themselves, even though the contract may stipulate the obligation for one of the parties to obtain financing from these entities. If a high-ranking representative of an entity that is not a party to the contract makes promises on which the parties rely, it is possible that that entity would have to assume responsibility for such claims made in its name, even if it has not itself signed the contract.

In practice, all this is also relevant because project companies are regularly founded through which the transaction is handled. On the one hand, this has tax reasons. On the other hand, it is a question of liability: if Satellites International Indonesia is confronted with high claims after the failed launch of the satellite, it may have to file for insolvency. Of course, this is exactly one of the reasons why the customer may prefer to have the parent company as contractual partner as well. As a legally independent project company, it may own hardly any assets at all. But it is also legally separate from Satellites International

GmbH. Therefore, the insolvency of the subsidiary would have no direct effect on the parent company itself. In such a scenario, the customer would likely demand third party guarantees if the parent company is not itself a party to the contract in order to minimize its exposure to the risk of the project company going under.

If the parent company, on the other hand, were to become a party to the contract, it would be directly liable just like its subsidiary for all assumed obligations. This would most likely be the preferred solution for Indonesia Television 1. The relationship between the parties is not usually as clear cut as it is in our example, however. Being able to identify who all should be contracting party often requires a bit of research into the company and business structure of the other side (such as by analyzing the trade register). It is clear that a good contract manager must be well informed about the entities involved.

Finally, it should be mentioned that companies, being legal entities, can only act through their (human) representatives. Representatives must act within the scope of their power of attorney. This power can arise from the law; the members of the board of directors of a stock corporation, for instance, possess power of attorney for that corporation by law. Power of attorney can also be issued by the representatives of a company. Peter, in our example, will receive the corresponding power to negotiate and sign the contract on behalf of his employer, and he will receive it from the company's CEO. The power of attorney is often laid down in a separate document that its beneficiary can use to proof his power. In Anglo-American countries, it is common that the contract itself also mentions which individuals have been acting with power of attorney in bringing the contract about.

The Preamble

Many contracts contain a preamble after the naming of the parties. The preamble serves to briefly outline the motives, intentions, and purposes of the parties. One could also say that it reflects the "basic consensus" of the parties. Even though the preamble is sometimes neglected by the drafters, it often plays an important role. For outsiders (e.g., someone new to the project or a judge who later has to decide on a dispute that arose from the contract), the preamble can be very helpful. In drawing up the offer, the supplier can use the preamble to describe the transaction in a way favorable to them. During the negotiation itself, the preamble also ensures that all parties have the same idea about where the transaction is heading. It is important that all parties affected by the contract are also clear about what the mutual expectations are.

If, for example, Satellites International GmbH wants to be solely responsible for the launch of the satellite, but Indonesia Television 1 wants to involve other companies to save costs, this difference in understanding will become apparent when the preamble is drawn up. The parties can then address this point straight away.

Even though the *Grundgesetz* (basic law) for the Federal Republic of Germany is a constitution, and not a contract, it is recommended that you take a few minutes to have a look at its preamble (Bundesministerium der Justiz und für Verbraucherschutz, 2019). Even though it comes from a different context, the *Grundgesetz* provides an excellent example of how a preamble can describe the consensus of those concerned about their following rights and obligations.

The “Planned”

The large part of a contract’s provisions can be called the **“planned” provisions**. The “planned” are the primary obligations that one party promises to the other: in other words, what they will do when and how for the other party (Berkel, 2016). Secondary obligations are obligations that kick in only if a primary obligation is not fulfilled, such as a warranty obligation (secondary) in case of breach of the (primary) obligation to deliver goods free of defects. The primary obligations obviously vary from contract to contract, in accordance with its subject matter. Buying bread from a baker involves the primary obligations: the handing over of bread by the baker (as the supplier) in exchange for the payment of the purchase price by the customer. If someone buys a bus ticket, they are entitled to the service of transport and must pay the fare for it. No matter how complex a contract is, the parties plan to fulfill their primary obligations vis-à-vis the other side. The planned provisions are the reason why the parties enter into the contract in the first place. They rely on the other side fulfilling their primary obligations and are willing to comply with their own primary obligations in return.

It is common for the planned provisions to comprise of various primary obligations, thereby serving a variety of contractual purposes. **EPC** stands for engineering, procurement and construction and covers the entire mix of obligations promised by the company that builds the power plant or production site in question. The primary obligations of an EPC contract therefore include a mix of detailed planning and control, procurement, execution of construction, and installation obligations. The planned part of such a contract may include everything that is necessary for the contractor to be able to hand over a functioning production plant to the customer (this is known as turnkey delivery, as the only thing that the customer needs to in order to start operation of the plant is to “turn the key”). Typical secondary obligations in an EPC contract may include the payment of contractual penalties or liquidated damages in case the works in question are delivered late.

The supplier wants their primary obligations in particular to be detailed as clearly and exhaustively as possible: “the primary aim of the offer preparation is therefore to provide a detailed, unambiguous and, as far as possible, conclusive description of what is planned” (Berkel, 2016, p. 187). The supplier should not find themselves having to perform more duties than they expected because, for example, it becomes clear in the course of an **interpretation of the contract** that they have committed themselves to more than that. Such a problem may arise when contractual terms (such as “turnkey” or “ready for operation”) are used that the parties could understand differently. In order to avoid this situation, both parties must enter into an intensive exchange of information, which begins on the basis of the offer. Only those who have the greatest possible clarity of what their primary obligations in fact are can draw up a realistic project calculation and avoid disputes.

The contract drafter should also always bear in mind that the project may be executed by parties different from those originally involved in the drafting of the contract. Think of the example we used at the beginning of this unit: Peter is responsible for drawing up the contract together with several colleagues. If Claudia from the production department was not involved in the preparation of the offer and the negotiation of the contract, she may have a completely different impression if the duties of Satellites International GmbH are not

“Planned” provisions

These consist of all of the obligations that the parties promise to carry out for one another. These are also called primary obligations. One side’s obligations are the other side’s reasons for entering into the contract.

Engineering, procurement and construction (EPC)

This is the joint decision-making process, characterized by conflicting interests of the parties involved. These conflicting interests must be reconciled for an agreement to be reached.

Contract interpretation

The interpretation of a contract is the process of determining the meaning of a contract, especially in the case of a dispute.

clearly defined. Of course, the same applies to Indonesia Television 1, which will only demand from Satellites International GmbH what it considers to be Satellites International GmbH's duty.

Finally, it should be noted here that certain contractual obligations can arise by law, even if they are not explicitly regulated in the contract. For example, if Satellites International GmbH carries out the production of the satellite in Indonesia, it must comply with local laws (labor laws, environmental laws, and so on). This may make it necessary to call in experts.

The “Unplanned”

“Unplanned” provisions

These are the promises of what either party will do in the case of an unplanned event, such as the breach of a primary obligation or the changing of a law.

The unplanned is the agreement of the parties on what they will do in the event of disrupted primary obligations and other unplanned events (Berkel, 2016). These are the obligations that must be carried out in order to react to unplanned events that the parties hope will never happen. However, they may indeed occur, so the parties must preemptively agree how they will deal with these unplanned events when the need arises. The unplanned contract provisions include both the secondary obligations of the parties (i.e., what they must do in case of non-fulfillment of their primary and planned obligations) and events outside of the parties' control (such as industry-wide strikes, pandemics, or war).

In practically every project there are problems of some kind. This is usually unavoidable, no matter how detailed the planning and how meticulous the execution. For example, delays and budget overruns are a regular occurrence, especially in large-scale projects (Flyvbjerg, 2006). But even smaller projects are not immune to mistakes. In large projects, they are more likely, and therefore occur more frequently. The supplier must therefore consider how to deal with the unplanned. Unplanned events can occur without any action on the part of the contracting parties. Unforeseen events such as an earthquake, volcanic eruption, or a global pandemic (e.g., COVID-19) can occur independently of the actions of the contracting parties.

No matter the reason for the unplanned, it usually means higher costs or delays (and, in the worst case, both). If, for example, there is a fire in a production hall of Satellites International GmbH due to a fault and production can no longer take place there, it may be possible to avoid a delay by using another hall. However, this will probably result in higher costs. If a ship is caught in a storm while transporting the satellite and sinks (through no fault of its own), this is a case of force majeure: higher costs and a delay will result. One can, however, minimize or mitigate risks in the execution of the contract. The production hall can be insured against fire and the ship against sinking. Nevertheless, these risks cannot be excluded with 100 percent certainty. The parties must therefore distribute the risk. They must decide who is liable for which risk and to what extent.

The offer represents the beginning of this joint decision-making process. It is the starting point for the negotiations. Therefore, the supplier must keep some room for concessions. As a rule, their offer represents the best case scenario. The customer will seldom be willing to accept worse conditions than what they were offered in the very first offer. On the contrary, the customer will rather want to take on fewer risks and in general receive better terms than what they are initially offered and demand as much in the negotiations. If the

supplier cannot make any concessions due to a lack of negotiating leeway, the negotiations will usually fail. On the other hand, if the customer wants to pass on all risks to the supplier with their very first offer, the supplier may not even be willing to enter into negotiations. Several categories of the unplanned are explained in more detail here.

Damages

If the supplier has caused the damage, they must generally accept liability. However, especially in the case of large projects, the risk of exorbitant damages is so high that the supplier must limit their liability; otherwise, the business would not be feasible. For the supplier, limiting their own responsibility is therefore always a balancing act. On the one hand, they should have to take responsibility for damage caused and make it clear that they see themselves as responsible. On the other hand, they cannot reasonably assume all risks.

No matter what the supplier and the customer ultimately agree in the contract, the right to damages cannot be excluded altogether. An exclusion for damage caused intentionally, for example, violates the law in most jurisdiction and is usually invalid. Likewise, it is often legally impossible to exclude one's liability for gross negligence. In the event of a dispute, such a clause would not stand up before the (arbitration) judge.

Defects

It is advisable to define in the contract what constitutes a defect (in material or service). The parties often differ in their understanding of this. Therefore, it is advisable for them to put the issue on the table and work out a common definition. In preparing the offer, however, a shrewd contract manager will position themselves for the negotiation by offering a definition of the term that is favorable to the supplier. Once there is agreement as to what constitutes a defect, the parties can now agree on the warranty rights of the customer in the event of a defect, namely, repair or replacement of a defective part or re-performance of a defective service.

Another important issue here is the warranty period. Often, a contractually agreed period is shorter than the period provided for by law. In contrast to, say, an exclusion made for damage caused intentionally, this is legally possible. The supplier is then only liable within the agreed period.

Delay in delivery

As already described, delays occur regularly, especially in large projects. Every supplier will try to limit their liability for delayed delivery to a maximum amount. A common amount is roughly five percent of the contract price. Often, as noted in the previous section (the "planned"), contractual penalties are agreed.

Payment default

Milestone payments are found in many contracts: payment must be made whenever a pre-defined “milestone” event occurs. The customer does not only pay upon completion of the entire project, but must also make partial payments before that. For example, in the context of a construction project, it is not uncommon for the customer to pay 10 percent of the contract price once the foundation is complete. Milestone payments protect the supplier from exposing themselves by incurring too much cost without compensation.

Partial payments are important because the supplier uses them to finance the project. They pay the salaries of their employees and procure the goods from which the product to be manufactured is made (building materials or parts). Often, the supplier must also pay their own subcontractors. Therefore, the supplier cannot be expected to pre-finance the entire project. However, regular and timely payment is necessary for the supplier to be able to properly execute the project.

The interest rate customary in the market is often used to determine the amount of interest payable. If the supplier’s financing costs are higher than that, market rates will still form the basis for the calculation. In international business, it is common to agree on a common reference interest rate to which a premium is then added, for instance “8% plus the Bank of England base rate for business to business transactions” (Gov.uk, n.d., Interest on late commercial payments section).

The Final Provisions

At the end of the main body of the contract are the final provisions. These are followed by one or more annexes. The final provisions are regulations that are intended to ensure that the contract can be implemented practically and legally. Berkel (2016) speaks here of “formalities that ensure the effectiveness and legal functioning of the contract irrespective of the project” (p. 166). This is illustrated by the example of several recurring points:

The applicable law

Even though the parties can set out their rights and obligations themselves in the contract, they do not exist in a vacuum. The parties do not create their own legal order. Rather, they must operate within the framework of an existing state legal system, which they can also use for the contract. Every contract is subject to a certain national law. As Bock and Zons (2021) explain, the applicable law is decisive for a whole series of questions. For example, on the question of whether a contract has been concluded at all, the question of how the contract is to be interpreted, or the question of how to deal appropriately with any regulatory gaps. Finally, the applicable law also has a major impact on the rights and obligations that are not explicitly mentioned in the contract. This is often overlooked in practice. However, it may be that the applicable law imposes certain obligations on a party unless expressly agreed otherwise.

These and other questions are answered quite differently by the respective national legal systems. As we have seen, this depends, among other things, on whether the legal system in question is one of civil law or common law. In any case, the parties must act within the

framework of national law. Contrary to a widespread misunderstanding, there is no one “international contract law” that can fulfill this function for international transactions. Instead, one has to agree on either German or Austrian law, for example. There is one major exception to this rule which we will discuss later: the UN Convention on Contracts for the International Sale of Goods (United Nations Commission on International Trade Law, 2010).

In principle, the contracting parties are free to choose the applicable law themselves. This is referred to as the **choice of law**. This is usually uncontroversial when two companies from the same country conclude a contract. Two contracting parties from Italy will agree on Italian law, just as two Indian companies will agree on Indian law. The situation is different when the contracting parties come from different countries. Let us stay with the example of Satellites International GmbH. If it concludes a contract with Indonesia Television 1, the choice of German law would be disadvantageous to Indonesia Television 1 because the company is, in all likelihood, not familiar with German law. Satellites International GmbH would probably not be willing to agree to Indonesian law for the same reason.

Choice of law

This is the choosing of laws from several legal systems that are applicable to parts of the contract or the whole contract.

To avoid a stalemate, parties therefore often choose a “neutral law”. This is supposed to be a law with which neither party has any considerable ties. In practice, this unfortunately often leads to parties choosing the law of a state with which neither of them is familiar. For example, contracting parties often choose English law (especially when it comes to commodity trading, shipping contracts, but also for mergers and acquisitions, i.e., the buying of companies) or the law of the state of New York (especially for financial transactions) without giving it much thought, as it is supposedly “good law” (Fountoulakis, 2006, p. 306). As a consequence, the parties have to invest a lot of money in advance to find out what legal consequences the application of this law might have for them. Such a choice of applicable law is ultimately disadvantageous for both sides. It makes more sense for one party to “concede” an advantage to the other with regard to the applicable law in exchange for claiming an advantage for itself in another part of the contract.

This problem is best solved by applying an actually “neutral” law, such as the UN Convention on Contracts for the International Sale of Goods (CISG). In principle, the CISG automatically applies when a sale of goods takes place between commercial sellers from different contracting states of the UN Convention on Contracts for the International Sale of Goods (this includes almost 100 states worldwide) (United Nations Commission on International Trade Law, 2010). However, because this convention only governs the sale of goods, it is not applicable to contracts of any other nature.

Free choice of law also means the right not to choose any law. However, this does not mean that the contract is not subject to any national law. It cannot, as we have seen, exist in a legal vacuum. So, even if the parties do not expressly specify which national law is to apply, a certain law will still be applicable. What that law is must then be specifically determined. The legal discipline that deals with this question is called private international law. Contrary to popular assumption, this does not contain any substantive legal principles of its own but assigns the transactions in question to the relevant legal systems. Such a procedure is not recommended, as (unpleasant) surprises are virtually guaranteed.

Rather than finding out after having concluded a contract under which applicable law it actually falls, the parties should address this issue head-on by examining the contract and finding a common solution.

Dispute resolution

Neither of the contracting parties wants to argue. Therefore, when there are differences, the contracting parties will always negotiate first. The contractual dispute resolution clause determines the steps which the parties will take in case of disagreement and usually begins with negotiations. Often, the direct negotiation between contracting parties leads to success and the dispute is settled. Of course, this is not guaranteed. The parties should make provisions for this eventuality by defining the dispute resolution mechanism in advance. The parties are generally free to choose which dispute resolution mechanism they wish to use.

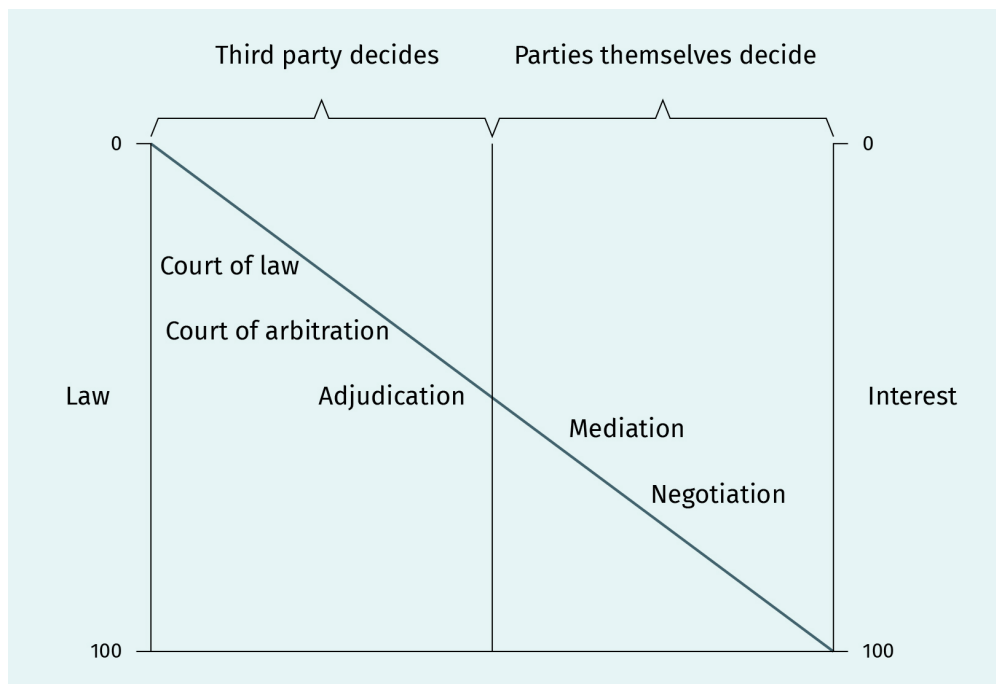
In addition to state courts and arbitration, the following options exist:

- An expert determination is particularly suitable for matters in which an “expert in their field”, such as an engineer or a tax advisor, can make a decision on the basis of fact.
- Adjudication is used almost exclusively in construction law and originates from the Anglo-American legal sphere. It has also found its way into civil law contracts in the form of dispute boards. Adjudication is the legal process by which an arbiter reviews evidence and the legal reasoning of the opposing parties to come to a decision which determines rights and obligations that are disputed between the parties.
- Mediation is when a third person helps the parties to reach a solution but does not make the decision themselves.

Here, too, almost all options are open to the parties and as long as there is no conflict. State jurisdiction and arbitration in the same dispute are mutually exclusive. A combination of several mechanisms is also possible. In practice, there is often a multi-stage procedure according to the scheme of negotiation → mediation → (arbitration) or public courts of law. The parties to a contract often attach little importance to the dispute resolution provisions. Lawyers specializing in dispute resolution therefore often speak of midnight clauses, because the dispute resolution provision is determined at the last minute and is therefore often flawed (see Altenkirch & Klodt (2020) for recent examples from arbitration).

In all dispute resolution mechanisms, law and interest play a role, as well as the ability of the parties themselves to influence the outcome of the process. All available processes can be ranked according to the degree to which the focus on the parties’ rights, or obligations, in resolving the dispute at hand. This is illustrated by the following diagram.

Figure 3: Conflict Resolution as a Function of Law and Interest



Source: Berkel (2016), p. 223.

Even if no one likes to argue and (excluding lawyers) no one has an interest in a dispute, dispute resolution should nevertheless be given due consideration. An invalid arbitration clause, for example, would have the consequence that the parties now find themselves before state courts. This can have a major impact through the costs of proceedings, the outcome of the proceedings and, in particular, the enforcement of the judgment against the losing party. In arbitration proceedings, enforcement is possible practically worldwide, whereas in the case of judgments of a state court, enforcement abroad is usually only possible to a limited extent, because it depends on agreements between the involved states which may or may not be practically enforceable.

Amendment clause

The amendment clause stipulates the conditions for changing the terms of an agreement. The clause typically requires a written document signed by both parties. It is common for this clause to also include a provision that requires the written agreement of both parties for changing said requirement.

Severability clause

The severability clause states that the contract as a whole shall remain valid even if individual provisions should be invalidated. Satellites International GmbH could, for example, have the following clause in its contract with Indonesia Television 1.



SEVERABILITY CLAUSE EXAMPLE

If individual provisions of this contract should be invalid or unenforceable or become invalid or unenforceable after the conclusion of the contract, the validity of the rest of the contract shall remain unaffected. The invalid or unenforceable provision shall be replaced by a valid and enforceable provision whose effects come as close as possible to the economic objective pursued by the contracting parties with the invalid or unenforceable provision. The same shall apply in the event that the contract proves to be incomplete.

Communication channels

For formal communications, the contract often specifies for each party one or more individuals or departments to whom the communication is to be directed (e.g., technical communications: person X; legal communications: person Y). This ensures that the communication arrives directly to the competent person. Communication to the wrong person of the contracting party will, however, usually still be attributable because it has indisputably reached the contracting party.

For example, if Satellites International GmbH wants its legal department to deal with all alleged warranty claims first and not the customer service, it can state in the contract that all alleged warranty claims are to be made to Barbara from the legal department. If the warranty period expires after six months and the notification is made on the last day of this six-month period to Paul from customer service, this will still usually be in time.

Prohibition of assignment

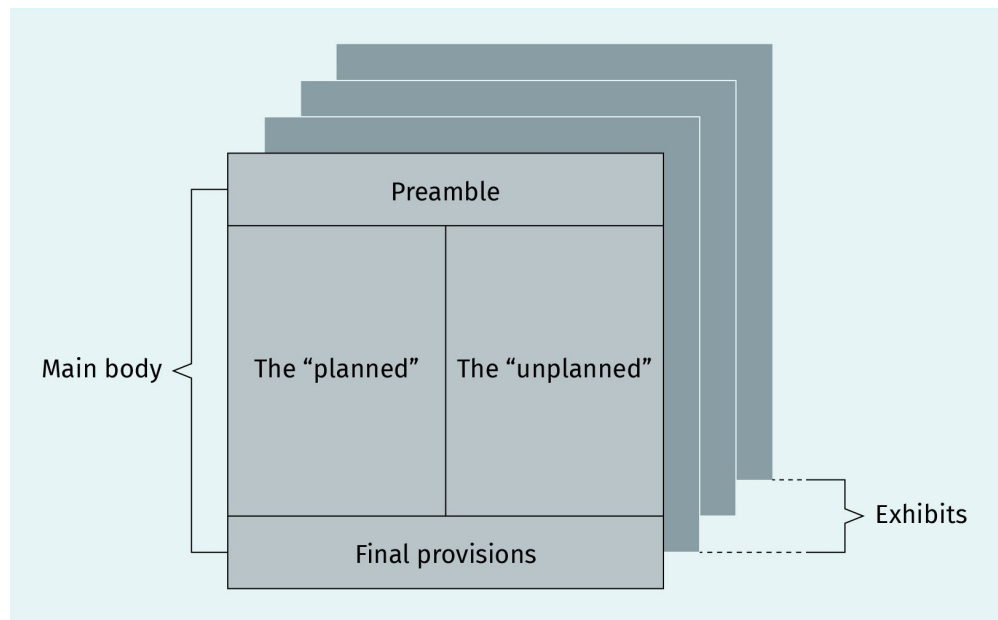
Assignment is the contractual transfer of a right enjoyed by one of the contract parties to a third party. The other side typically will not agree a priori to such an assignment and will want to reserve, in the prohibition of assignment clause, a veto right to prohibit such a transfer. These clauses usually prohibit the assignment of the entire contract but may not prevent an assignment of specific obligations (e.g., the right to receive payments due) unless circumstances indicate the contrary. Often, the contracting parties do not want one party to be able to transfer its rights to a third party. One does not want to suddenly have to deal with a new creditor. Therefore, prohibitions of assignment are usually agreed.

Concluding remarks on the final provisions

The above points are only a selection. In fact, too many complicated provisions can make the contract drafting process much more difficult and may also lead to more disputes between the contracting parties. A healthy balance between too much and not enough detail is advisable. The contracting parties should not simply take over provisions from

other contracts: they should think about which regulations make sense. In particular, the applicable law and the dispute resolution mechanism should not be left open. Otherwise, unpleasant and unplanned surprises may occur.

Figure 4: The Structure of the Contract



Source: Berkel (2016), p. 184.

2.4 The Offer Preparation Process

Preparing an offer requires contract management to determine what provisions would best serve the company. It is also necessary, however, to leave oneself enough room to maneuver during the negotiation. The right balance must be found so that a successful start can be made in the contract negotiation.

Roughly speaking, every contract has three major components that should be included in the initial contract offer. These are as follows:

1. Technical components (e.g., the nature of the product and how it works)
2. Business components (e.g., the agreed amount of the payment and payment targets)
3. Legal components (e.g., the applicable law and the place of jurisdiction).

Two procedures are usually carried out to ensure that all components are included in the offer. First, each team (e.g., the technical, economic, and legal departments) prepare the relevant points on their own. Then, all the relevant points are combined into a whole offer. It is also possible that interdisciplinary cooperation takes place from the start, i.e., the technical, economic, and legal departments can collaborate on the contract from the beginning of the process.

At first glance, one may find advantages and disadvantages to both approaches. However, interdisciplinary cooperation is highly recommended. If individual departments work independently, misunderstandings and contradictions are much more likely. In large projects, it is extremely difficult to combine several separate parts into one if each of them follows its own logic and structure that varies from the others. Furthermore, many topics cannot even be separated from each other at all. For example, the technical department should be consulted when creating the most useful definition of a material defect, as the technical department knows best which defects are likely to occur. This also goes for the exclusion of specific components that may be necessary. The business department must, after clarification with the technical team, give input on what can happen from a business point of view in the case of a material defect. If the customer has the right to choose between repair or replacement and insists on a repair, this may lead to considerable costs, for example, for products that are used daily. Here, repair would be more expensive than the purchase of a new product. In such cases, the supplier will only offer replacement from the outset.

Based on the information received from the technical and business departments, the contract manager or lawyer should now draft the wording so that all the desired aspects of the offer are available in clear and unambiguous language. However, the legal department can only do this if the information from the other departments itself is clear and unambiguous. As you can see, drafting a warranty clause can only be done if individuals with business acumen, legal expertise, and the relevant technical knowledge work together.

In addition to these three main functions, there are often contracts for which specialists need to be consulted. If Satellites International GmbH only has a project company in Indonesia, it is unlikely they will be familiar with local laws. Therefore, they should consult lawyers from Indonesia in order to be clear in every area (e.g., local labor or environmental protection laws). Specialists should also be consulted on many other issues such as anti-trust, environmental, and export/import issues. Depending on the contract in question, approvals are often necessary when working internationally, and only specialists can provide the relevant information. Another important issue is tax law. Sometimes project companies are established for the sole purpose of carrying out the project in the most tax-efficient way. In states where the rule of law is less developed, investors sometimes fear disadvantages from the state. Some states have concluded investment protection agreements. In such states, it is often advisable to take out special insurance. This is something the average corporate lawyer usually does not have much experience with.

These examples make it clear that close cooperation between all needed areas of expertise is essential. If there is a lack of cooperation, an offer may be prepared that does not correspond to what the firm actually intends to offer. Even if the mistake is discovered later, it can be difficult to demand changes during the negotiation. The counterpart's defensive reaction, "that's from YOUR offer", is to be expected. Referring to an error in the offer does not inspire much confidence. This also applies to errors that might be obvious to the other party, for example, when the contract refers to "Technical Annex A3", which does not exist because all technical annexes begin with the letter "C". Nobody is perfect, and minor mistakes can certainly be forgiven. However, if it is clear that the bidder has

done a sloppy job, the potential customer will certainly ask themselves whether the way the supplier's project team works is different. Therefore, they may prefer to refrain from pursuing the offer—even if it is a good offer in and of itself.

When it comes to the drafting itself, in-house lawyers are usually better suited to the job than external lawyers. This is because they know their own company and its business model much better, therefore requiring much less time to clarify open questions. A company may also not be keen on informing outside counsel on all necessary details of its business model and know-how. Whether they are external or internal, the author of the proposal should never lose sight of the big picture. In general, all those involved in the drafting of the offer should not only focus on their own area, but “develop an understanding of the other aspects in each case” (Berkel, 2016, p. 196) and grasp the contract in its entirety. If the head of the technical department, in a conversation with a lawyer, explains to them that they are not interested in the final wording of the contract because “this is all lawyer stuff”, this behavior is not very effective. It would be much better if they openly admitted that they had less experience in the field and therefore want to work together with the lawyer, while still maintaining interest in developing an understanding of the legal side of things. It can then be assumed that the offer will be of a higher quality in every respect. The same is true for the attitude of the lawyer, who needs to be driven by a true interest in the technical content of the offer they are drawing up (for a detailed overview of cooperation including further important tips, see Heussen & Pischel, 2014).

The Use of Standard Contracts

Although interdisciplinary cooperation is required, this does not mean that a team must always come together after the bid decision to prepare an offer from scratch. Many companies have **standard contracts** that they can use when preparing an individual bid. This is recommended because it does not make sense to reinvent the wheel every time a bid decision is made. Many provisions from the model contract can be adopted 1:1 for the offer because the provisions contained there represent the best scenario for the supplier. Nevertheless, caution is advised here. The more complex a contract becomes, the greater is the danger when simply carrying over provisions from other (standard) contracts. The offer may become a patchwork in which the clauses do not fit with one another. In the worst case, this may lead to a disadvantageous (and unintended) interpretation of the contract.

Standard contracts

A standard contract is a premade or template contract that can be used in a large number of transactions.

There is another problem: In many countries, particularly high demands are placed on contracts that one party has pre-formulated. Because such standard contracts are often used by a party in a particularly strong market position, the law in many countries assumes that the other party is weaker and thus worthy of protection. The clauses favoring the contract drafter may then be subject to special juridical control. In the worst case, they can be declared void by a court (of arbitration). In this case, statutory law applies instead. This is often less favorable to the contractually agreed provisions. The improvement in the legal position actually desired by the user of the standard contract can thus turn into its opposite (Berkel, 2016). This is not to say that standard contract templates should not be adopted under any circumstances. On the contrary, it is precisely when they can be adopted that there is a higher degree of efficiency. At the same time, the drafters should also carry out a sufficient degree of individualization. This avoids the situation

where some clauses may be declared invalid. In order to determine when a contract is to be considered sufficiently individualized, a lawyer familiar with the respective jurisdiction should be consulted.



SUMMARY

This unit dealt with the first phase of contract management: the preparation of the offer. The offer is a prerequisite for the rest of the process. Without an offer, there is nothing to negotiate, and the supplier and the customer cannot agree on a contract, let alone execute one. Of course, a contract analysis is then not possible either. The offer is therefore the necessary first step and can be more complex in practice than one might think.

The decision to submit an offer at all (the bid decision) is of great importance, because it is often very time-consuming and, hence, cost-intensive. The supplier cannot follow up on every project they hear about. It is also important that the supplier sends the customer an offer that the customer considers to be “worth negotiating”. If the customer does not want to pursue the offer (for example, because the price offered is too high or the distribution of risk is too one-sided) then the offer preparation has been a wasted effort.

The supplier submits the offer in the form of a draft contract. It is up to the supplier to structure the contract. As a rule, however, the contract is structured according to the following scheme: (i) contract title and naming of the parties; (ii) preamble; (iii) planned; (iv) unplanned; and (v) final provisions. This is regularly followed by extensive annexes and appendices. This unit showed that, as a rule, points (iii) and (iv) offer the greatest potential for adding value and generally contain the most important provisions. Nevertheless, attention should also be paid to other issues, especially the final provisions. No one wants to have an invalid applicable law clause in their contract or to find, in the event of a dispute, that the arbitration is unenforceable.

The process of preparing the offer is characterized by teamwork. The technical, business management, and legal teams work together on the big picture. This makes it necessary to meet on a regular basis and also to “think outside the box” so that one has an understanding of the other areas. Without this coordination, for example, the technical part will not fit with the legal part.

UNIT 3

PHASE II: NEGOTIATION

STUDY GOALS

On completion of this unit, you will be able to ...

- describe what happens after a bid has been submitted.
- understand why a distinction is made between external and internal negotiations and what takes place in each case.
- identify possible negotiation strategies the contracting parties may choose.

3. PHASE II: NEGOTIATION

Case Study

Eva works for Satellites International GmbH and is involved in the IndoSat project. This is a communication satellite project in Indonesia for the television broadcaster Indonesia Television 1. Satellites International GmbH has just submitted a bid for the IndoSat project and held initial talks with Indonesia Television 1.

On Friday afternoon, Indonesia Television 1 approached Satellites International GmbH with a draft memorandum of understanding (MoU). Indonesia Television 1 proposes to conclude this memorandum of understanding in order to deepen the discussions.

Eva knows that this is a good sign. In a good mood, she meets up with her friends after work at her local pub. She tells them that she is making good progress with the project in East Asia. The customer has sent an MoU and now wants to hold more intensive talks. Eva hopes for a quick contract negotiation and the project award.

Her friend is a doctor and has never heard the term “memorandum of understanding”. However, Eva talks so quickly that her friend does not want to interrupt. When the friend finally gets a chance to speak, she asks Eva the following questions:

- What is a memorandum of understanding and what does it mean that the customer wants to sign one?
- How long does it take until the project is fully negotiated, and how does this process work?
- Which points are particularly important to Eva’s employer and the East Asian company, and how can one ensure that these points will be included in the contract?

3.1 The Submission of an Offer

The negotiation phase begins with the submission of the offer to the customer once interest has been confirmed. Two points can be derived from this:

1. Every customer knows that the offer represents the best-case scenario for the supplier and that the supplier has presumably included sufficient room to maneuver and be able to respond to the customer’s demands accordingly. Therefore, it would often make little sense to accept the offer as it stands.
2. The conditions of an offer that is worth negotiating can vary based on the customer. It is quite possible that an offer appears so unattractive to the customer that they do not want to enter into negotiations. Financial considerations may play a role here: the customer will not pursue an offer that is financially unattractive. After all, the project should be profitable for the customer, too.

There may also be reasons that have nothing to do with finances. The customer may not want to work with a certain supplier, for example, because they have had a negative experience with them in the past or because their general reputation is poor. Just as the supplier decides whether they want to submit an offer, the customer decides whether they want to pursue an offer they have received.

Imagine, for example, that the head of Indonesia Television 1's IndoSat project is speaking at a conference for television broadcasters with colleagues from the Philippines and Malaysia. Both colleagues had business dealings with Satellites International GmbH not so long ago. While there were no major problems with the Philippine project apart from a two-week delay in delivery, there was a major dispute with the Malaysian project. The Malaysian TV station has been in arbitration proceedings with Satellites International GmbH. It is unclear what effect this conversation will have on the head of the IndoSat project. We can assume that the experience of the director's colleagues from the Philippines and Malaysia did not leave a positive impression, even though Indonesia Television 1 itself has never had anything to do with Satellites International GmbH.

Similarly, a supplier who writes the customer's name incorrectly in the offer or makes similar mistakes (naming appendices incorrectly, leaving contradictions in the contract body, inconsistent numbering, and so on) is less likely to inspire confidence, which may result in a rejection. It is also possible that a supplier distributes the risk in their offer in such a one-sided way that the customer does not see any room for negotiation.

Finally, it is also possible that a good offer will be rejected. Just as you may not be invited for an interview (despite being qualified for a certain job), a supplier with an excellent reputation and a very good offer may sometimes simply not be invited for negotiations. Perhaps the offer comes at a time when discussions with other suppliers are already advanced, or there may be political pressure to give preference to another supplier. The people who work in companies may, besides representing that company, also have their own agenda and prefer to work with specific business partners or technologies. A rejection does not necessarily mean that the offer was bad. However, the supplier often does not find out why exactly the customer does not want to pursue an offer further. Just as applicants for a job usually receive a standard rejection letter without a detailed explanation of why this rejection has come about, the supplier often just receives a polite but vague rejection letter.

Let us now look at how things proceed if the customer is interested in the offer: this is when the negotiation phase begins. It may commence rather informally. During a short telephone conversation, the customer thanks the supplier for the offer and informs the supplier that they would like to talk about the details. An appointment is then made for a first meeting (this is generally done face-to-face or by video conference). It is important to remember that, at this point, it is often not yet clear whether the project can be realized. The financing of a project depends particularly on the expected return on investment. This can only be assessed with certainty once key figures are available, such as the expected efficiency of a plant. However, these are only known for sure at the end of the negotiation. Therefore, at the beginning of the negotiation phase, the focus is often on an intensive, yet basic exchange of information. This is how important key points crystallize, which are then the focus of the conversation as it goes forward.

Letter of intent (Lol)

This is the declaration by one party that it is interested in pursuing negotiations to conclude a specific contract. Lols are “soft”: i.e., largely non-binding and used to express intent.

Memorandum of understanding (MoU)

Similar to an Lol, a memorandum of understanding is by potential parties used to express interest in concluding a specific contract in a non-binding way.

As part of this initial exchange of information, parties to international commercial transactions often sign a **letter of intent (Lol)** or **memorandum of understanding (MoU)**. While the former is only signed by one party, the latter is signed by all potential parties to the contract in question. Both serve to express and document the intention of the signatories. Often, this expression of the parties’ intent is not meant to be binding. The parties do not want to be held accountable should the negotiations eventually fail. These are referred to as “soft” Lols or MoUs. On the other hand, there are “hard” Lols or MoUs, which contain legally binding declarations on essential elements of the contract (e.g., purchase price, scope, and delivery dates). In most cases Lols and MoUs contain at least some legally binding agreements on mutual confidentiality. The parties promise not to disclose confidential information obtained during negotiations to third parties, even if the negotiations do not lead to the conclusion of a contract in the end. Even if there is only a “soft” letter of intent, the conclusion of a letter of intent often represents a very important first step, which is also celebrated accordingly by suppliers. The MoU is often a confidence-building step and is signed in a solemn ceremony by both parties. However, one should not be overly impressed by this, as there is no guarantee that the negotiations will lead to the conclusion of the contract.

To explain the significance of confidentiality, here is a practical example: Satellites International GmbH would like to start the IndoSat project as a “prestige project” in Southeast Asia and use it as a showcase for the entire region. It is conceivable that it will offer a very competitive price to open up the market. When other potential customers learn of the price, they will not want to pay more elsewhere. Satellites International GmbH has the greatest interest in ensuring that no financial figures are leaked and will insist on the conclusion of a confidentiality agreement before making such figures available.

In summary, the parties focus on the broad strokes of the project at the beginning of the negotiation. The focus is on getting to know the other party better and use information about their interests to refine their approach. The exchange of information takes place step by step. As things progress, it becomes easier for the parties to work out relevant key points. This facilitates the start of detailed negotiations.

3.2 The External Negotiation: Planned and “Win-Win”, Unplanned and “Win-Lose”

As we have mentioned, the process begins with the gathering of information. After the contracting parties have clarified the key issues and know how they would like to proceed, the actual negotiation begins. The title of the contract, as well as the naming of the parties, is generally not a problem as there is little to negotiate. It is also very unlikely anyone will spend many hours on a suitable preamble. It follows that only the planned, the unplanned, and the final provisions are left to be negotiated. Here, the planned and the unplanned are usually much more important for the contracting parties than the final provisions, since the rights and obligations as well as the course of action if problems arise in

the fulfillment of the primary obligations are laid down here in the contract. External negotiation is therefore mainly (though not exclusively) about the planned and unplanned. In addition to the content of the negotiation, an important point is to commit to the negotiation process itself. This is particularly helpful if the contracting parties have different cultural backgrounds.

The planned is “the promise of the parties what they will do when and how for the other party” (Berkel, 2016, p. 187). The rights and obligations of the parties are contractually defined here. The planned is therefore about the reasons why the parties want to conclude the contract in the first place. This is a matter of working out the optimal configuration for both sides. For this reason, Berkel (2016) argues that the focus of the negotiation of this part of the contract can often be conducted as a “win-win” negotiation (p. 187).

In this form of negotiation, the focus is on optimizing the common benefit. Each of the negotiating partners respects the other participants and tries to take the interests of the others into account. A win-win negotiation is thus the opposite of a win-lose negotiation (which will be discussed later in more detail). To differentiate between the two at this point, let us say that, in a win-lose negotiation, it is supposed that both sides cannot win equally. The same is not true for a win-win negotiation: here, a win for one side can also be a win for the other side, granted it does not come (entirely) at their expense. Consider the often-controversial issue of liability: If the customer enjoys unlimited liability, the supplier must bear the corresponding risk of assuming that liability. Conversely, the supplier can only reduce their liability at the expense of the customer. Every improvement of their position (a “win” for them) necessarily leads to a deterioration of the rights of the other side (“lose”). Issues like this are mainly found in the unplanned part of the contract.

Now that we have briefly touched on what a win-lose negotiation is, let us explore win-win negotiations in more detail. This is also referred to as **value-creation or integrative negotiation**. It aims at enlarging the proverbial pie for both sides (Berkel, 2016). In the framework of win-win negotiation, one does not make the assumption that if they get something, someone else must get less. Instead, the goal of the parties is to jointly search for the “optimal combination of performance and consideration” (Berkel, 2016, p. 62). How can this be achieved? Parties must truthfully exchange information about their interests, priorities, and preferences. The following case from Kolb (1995) illustrates this.

**Value creation/
integrative negotiation**
The goal of both parties in a contract is to create joint value by integrating their respective interests for mutual benefit.

Kolb’s Orange Example

Two children are arguing over the last orange left in the kitchen. They both want the orange and the conversation gets heated. What should the mother, who has been called in to solve the problem, do? (Before reading further, take a minute to consider this scenario yourself: What options does the mother have here?).

The most commonly recommended solutions are that

- a) both children get half an orange each,
- b) one child gets the orange, or
- c) neither child gets the orange.

Position
A position is taken by a side when that side makes a demand of the other.

Some other possible solutions are a little more creative: one suggests that, if choosing solution b), the child who gets no orange today gets two oranges the tomorrow (or is rewarded in some other way). In the end, however, this suggestion is often not practical, as the children want their orange today. It is easy to see that all these possible solutions are within the limits of the win-lose logic already described: What one child gets, the other has to do without (and vice versa). These proposed solutions are only oriented towards the children's "**positions**" (i.e., what they are demanding): "I want the orange!" versus "No, I want the orange!" In this scenario, as in real life, when positions clash, the parties often have no choice but to play a "zero-sum game". One can only prevail at the expense of the other side.

Interests
The interests of a party are what motivates them to take a specific position.

This is where the mother comes in: she can attempt to break through the logic of win-lose. To do this, she must ask each child a crucial question: "Why do you want the orange?" The question of what "**interest**" lies behind the children's positions. The first child wants to make orange juice with the orange. The second child wants to use the zest and peel of the orange to bake orange muffins. Herein lies the "aha" moment: the question "why do you want the orange?" (a question of interest) would have settled the argument within a minute—even without the mother's intervention. The question "what do you want?", on the other hand, focuses only on the position and ignores the "why?" The position of one party is, essentially, what it demands from the other party. What is demanded, its claim, is the "what?" The interests, on the other hand, are the needs, motives, and desires underlying a position. Interests explain why a party makes a certain demand and not another.

Adults, too, often find themselves in situations that are similar to that of the two children. In contract negotiations, people must assert their own positions at the expense of the other side. But they often overlook the possibility that the interests of the two sides are, in fact, not mutually incompatible. Particularly in the heat of the moment, negotiators often overlook the fact that it would be possible to reconcile the interests of both sides. Reconciling the mutual interests of the parties to the highest extend possible is precisely the focus of the planned provisions of the contract. The main task when negotiating these provisions is to truly understand the other side and to communicate one's own preferences and priorities.

Let us stay with Satellites International GmbH to illustrate this point. Let us assume that the parties had agreed early on that the satellite would be launched from China. Now, as part of the contract negotiation, Indonesia Television 1 demands that the satellite also be built in China. The negotiator for Satellites International GmbH immediately folds their arms in front of his body and says that this is out of the question, an absolute no-go. They have been manufacturing in Bangladesh for years with great success and see no reason to deviate from this practice now.

Satellites International GmbH may have its reasons for this refusal. However, it would have made more sense to ask Indonesia Television 1 in advance why it is making this demand in the first place. Then it would have become clear that Indonesia Television 1 wants to ensure that the satellite is not damaged during transport and that its launch can happen shortly after its completed construction. Indonesia Television 1 had, in a past project, lost months due to a satellite being irreparably damaged during transport. The

company does not want to repeat this experience. It knows that Indonesian communications satellites are typically launched into orbit from China and wants to avoid a long journey to China. Therefore, Indonesia Television 1 asks its supplier to manufacture in China.

Satellites International GmbH's preference is for the communication satellite to be manufactured in Bangladesh, simply because that is where they have existing manufacturing capacity in Asia. Transferring production to China would entail considerable costs and may require knowledge transfer to the country, which Satellites International GmbH wants to avoid.

If none of the negotiators ask the key question ("why do you take that position?"), the negotiation will never be shifted to a possible win-win stance. Through this, the parties may face an insurmountable hurdle, all because they failed to find out what the interest behind the other party's position was. However, if the parties explore their mutual interests (short transport distance on the one hand, and the use of existing manufacturing capacity on the other), it will turn out that the Satish Dhawan Space Centre is not very far from Bangladesh. From there, rockets and satellites can be launched into space. The transport route would be much shorter than from Bangladesh to China, and the parties would quickly realize that the combination of the two elements (manufacturing in Bangladesh and launching from Satish Dhawan Space Centre) meet the interests of both sides. They could thus create value and achieve a win-win outcome.

As this example illustrates, one should be open to creative solutions to accomplish value creation. Value creation is possible in three constellations:

1. The parties have different preferences.
2. The parties have different expectations for future developments.
3. The parties' interests are complementary.

These points are briefly explained below with the help of examples (based on Berkel (2016), p. 201).

Example 1

With regard to different preferences, one side is interested in secure financing, while the other side (a project company without large assets) wants to make payments as late as possible to ensure its own liquidity. This is where value creation becomes possible in the form of a trade-off: the project company can easily procure a guarantee from its parent company and receives more flexible payment terms in return. In a trade-off, the parties combine two contractual issues in such a way that each side—while perhaps not getting everything they want—gets what is most important to them. Our Bangladesh-China example falls into this category.

Example 2

Another way to reach a win-win agreement lies in identifying different expectations that the parties have for the future. Consider the financing of a project. The customer expects to have to borrow money at an interest rate of 5 percent from its commercial bank, while

the supplier believes that a loan from the Asian Development Bank (ADB) can be obtained at an interest rate of 3.5 percent. The customer does not believe in ADB financing, but the supplier does. With a loan of 500 million euros repayable over ten years, this 1.5 percent difference has a considerable impact, and the supplier wants to benefit from lower financing costs by getting a higher price.

Example 3

An apparently insurmountable impasse can be resolved if the parties agree on a contingency provision: if there is ADB financing, and therefore lower financing costs, the customer agrees to lower the contract price by a small percentage. This is the contingency provision. It is contingent upon a specific future development (favorable ADB financing being obtained). The baseline scenario (regular financing from the commercial) is what the contract is based on. If things should turn out better than expected in the baseline scenario, there is an additional piece of pie that the parties can distribute. Here, both sides benefit: the customer promises something that is of no cost to them (they assume that ADB will not finance anyway—if it does, they will have extra money to spend), while the supplier receives a promise that is of value to them. The third way to realize a win-win is for the parties to detect complementary interests, for example, if they both want to use a new production plant as a reference project. They both expect an increase in sales if the plant becomes certified. Therefore, it makes sense for them to share the resulting costs. The children in our orange scenario also had compatible interests, as the mother eventually discovered.

In most contract negotiations there is potential for creating value. Using this potential, however, requires two things: Both parties must try to find out the interests of the other party. Both parties must also be willing to show a certain degree of openness. It is recommended to record basic agreements in writing as early as possible. This not only allows the negotiators to see their progress, but usually also shows whether there is actual agreement. When the parties do not speak the same language (e.g., Satellites International GmbH and Indonesia Television 1), misunderstandings can occur. This point also shows that it is important to negotiate as a team. The contract manager or lawyer sitting in the can implement what has been agreed in writing more quickly than when internal communication takes place and is followed by a back and forth of draft contracts. It is hence advisable for both sides to work on the same draft document, for example, by displaying it on a projector or by sharing it on the screen. Business transactions are usually not limited to the creation of value. Each side wants to keep its risk as low as possible: this is often only possible if the other side assumes part of the risk. This brings us back to the clauses of the unplanned and to win-lose negotiations.

The Unplanned and Win-Lose

Not everything in a project will go according to plan. The larger the project, the greater the likelihood of unplanned events, no matter how proactive the contracting parties are in countering them (Flyvbjerg, 2011). The contracting parties are aware of this and act accordingly. This can be seen in the fact that contracts also regulate the unplanned: if the parties assumed that everything would go entirely according to plan, they would not even include such provisions in the contract.

Theoretically, something unplanned can be both positive and negative. If the parties expect to build a skyscraper, but then come across buried treasure during construction and share the proceeds, this was unplanned but positive. However, the unplanned here refers only to the contractual risk. This, in contrast to something that is unexpected and positive, poses problems for the parties. Whether we are talking about the distribution of a treasure or the (unfortunately much more common) attribution of risks: we must follow the logic of win-lose. What one side gets, the other side must lose. The aim here is to secure as large a slice of the pie as possible. Therefore, we also speak of **distributive negotiation**.

Let us take our satellites case, for example. In the event of damage caused by Satellites International GmbH, its liability should be as low as possible. On the other hand, Indonesia Television 1 wants the liability of Satellites International GmbH to be as high as possible in order to cover consequential damages (such as the penalties it would have to pay to its customers). If Indonesia Television 1 delays payment, Satellites International GmbH wants to receive an interest rate for that delay. Indonesia Television 1, however, would much prefer a low interest rate. Conversely, Indonesia Television 1 wants Satellites International GmbH to pay as high a penalty as possible in the event of a delay in delivery. Satellites International GmbH prefers low penalties.

This example shows that the negotiator must negotiate in a way that creates value as well as distributing it. We must bear in mind that these two negotiation strategies are completely opposite. Those who negotiate in a value-distributing way must act differently to those who negotiate in a value-creating way. Here, it is about one side getting their way at the expense of the other. Of course, the other side will only agree to an offer if it also benefits from it. In order to maximize one's own benefit, one must minimize the benefit of the other side. This means persuading them to accept an agreement that is less optimal. In other words, one side should concede as little as possible to the other side. The behavior in the distribution of value therefore strongly resembles a scenario that can be observed in bazaar or flea markets. One starts with exaggerated but still plausible demands, makes as few concessions as possible, and urges the other side to make concessions. Indeed, when one attends the negotiation of an important liability clause or other significant risks, one often feels like they are at a bazaar. The clauses of the unplanned follow precisely this logic. Things are no different when it comes to the question of the price, which can be found in the part of the contract relating to the planned.

The value-creating negotiator wants the exchange of information so that they can maximize the joint benefit. Here, as we have seen, it is important to have an open and trusting exchange of information. One describes one's own preferences and wishes and is interested in the interests of the other side. An attempt is made to reconcile both in the best way possible. To do this, one asks a lot of questions and fields even more. This process requires creativity and allows for creative growth and problem solving.

The value-distributing negotiator, who puts their own profit maximization in the foreground, acts differently. A negotiator who is primarily interested in their own advantage will certainly not divulge all the details for the other side to take advantage of. They will not enlighten the other side and may even try to mislead slightly in accordance with their own interests.

Distributive negotiation

This is necessary when a risk or resource is divided in such a way that one party's gain is the other party's loss (and vice versa), i.e., a zero-sum game.

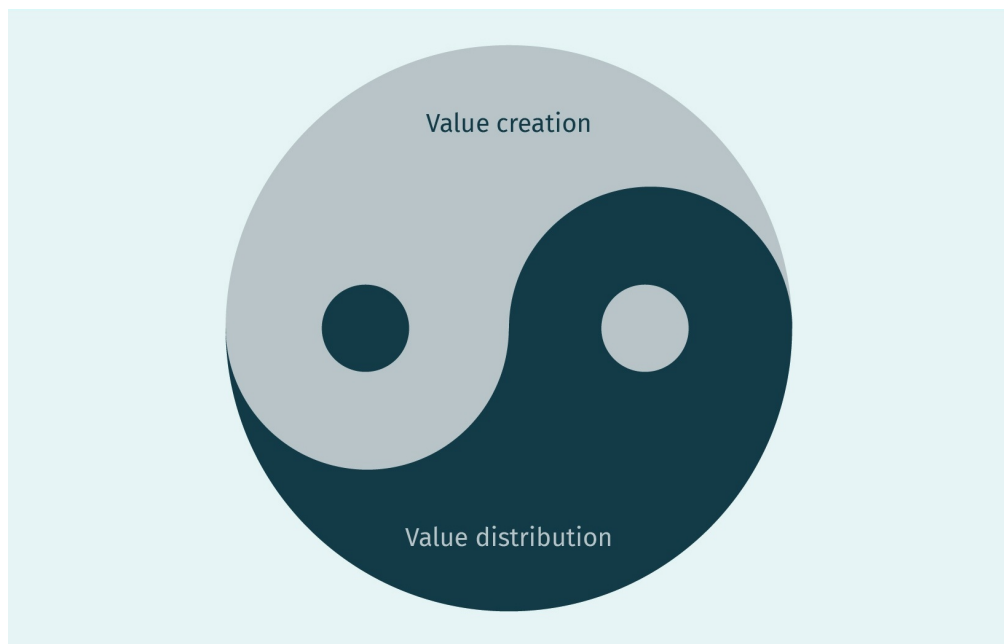
Negotiator's dilemma

Contract negotiation makes it necessary for the negotiator to pursue both value creation and value distribution. These two requirements are in conflict with each other.

These two negotiation styles (win-win and win-lose) are obviously difficult to reconcile. Here, we speak of the “**negotiator's dilemma**” (Lax & Sebenius, 1986, p. 154). The negotiator is faced with the question of which negotiation strategy to choose. Should they act in a value-creating way and risk being taken advantage of by the other side? Or should they negotiate in a value-distributing way and thus run the risk of not being able to exploit much of the value-creation potential? Both approaches can lead to undesirable results, making this quite the dilemma: while value creation and value distribution contradict each other, they are inseparable. The contract contains both the clauses of the planned and those of the unplanned (Berkel, 2021). Figuratively speaking, even the “enlarged pie” must eventually be distributed. If the customer and supplier have found the optimal project configuration for their mutual benefit (think again of our Bangladesh-China example), the customer will still want to pay as little as possible for it. The supplier wants to get as much for their money as possible.

Value distribution and value creation often require negotiators to pursue conflicting tactics. At the same time, most negotiations require both value distribution and value creation. Berkel (2021) therefore depicts the two sides of negotiation as “yin and yang”: two opposites that are inseparable.

Figure 5: The Yin and Yang of Negotiation According to Georg Berkel



Source: Berkel (2016), p. 9.

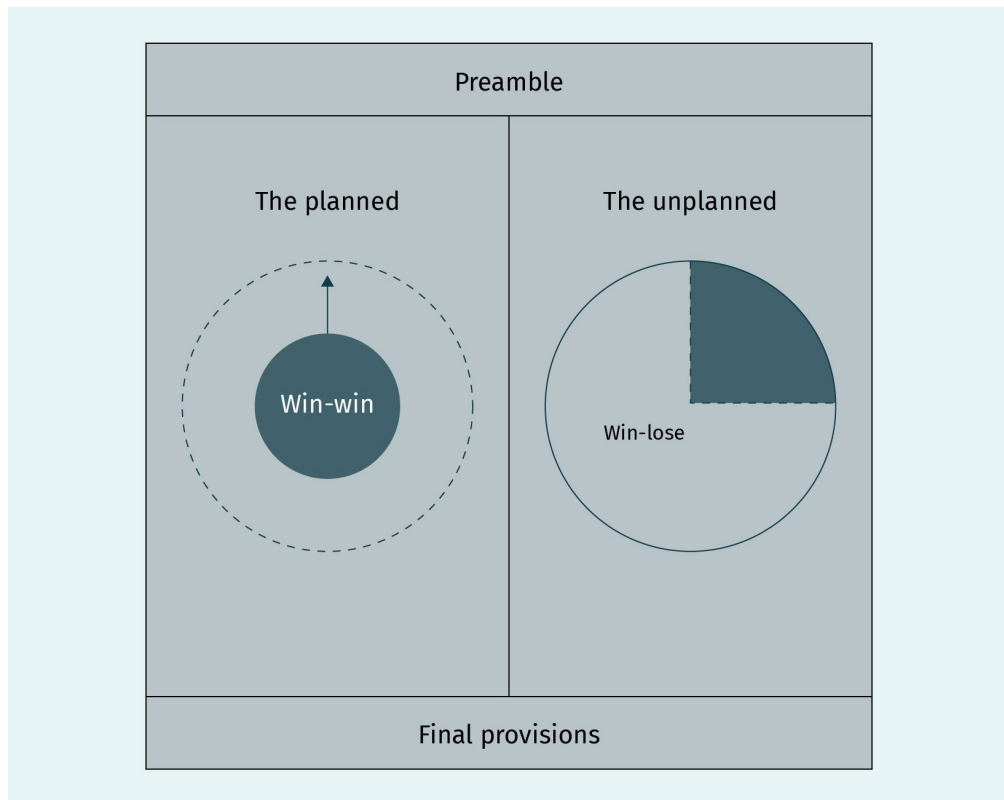
The clauses of the planned, in turn, also require value distribution, and even the clauses of the unplanned often also enable value creation. For example, think of cases where the supplier—secure in the knowledge of the quality of their supply—could grant extensive warranty rights without demanding an excessive amount in exchange. Such a generous warranty clause may mean a lot to a customer who has no experience with the operation and maintenance of the parts to be supplied. The supplier could also prefer another risk-

sharing clause: it could be that it is very important for the supplier to obtain strong payment security because they must make advance payments for the purchase of materials. The supplier wants to avoid being stuck with these costs. Payment security would therefore be of utmost importance to them. This might be quite cheap for the customer to obtain. If, for example, the customer is an affiliated company, it may be easy to get a group guarantee from the parent company, which would involve quite low costs. For the supplier, this may be as valuable as a (more expensive) bank guarantee. Clever negotiators could link these two clauses as a trade-off: the customer gives the supplier the desired payment security and, in return, receives the extensive guarantee. Since this would be better for both sides than taking a middle ground on either clause, it is possible to “expand the pie” here. Opportunities for value creation can thus also be found in the clauses of the unplanned.

However, it should not be ignored that there is no escaping the negotiator’s dilemma. It would be even better for the supplier, of course, if the customer accommodated them in both clauses. The same can be said for the customer. It is also certain that both sides can only overcome the dilemma together. Therefore, the negotiating skills of each party plays a decisive role. An in-depth examination of the possibilities and limits of various negotiation tactics would go far beyond the scope of this script (if interested, see Berkel (2021)). It is crucial for success to take a holistic approach (Leonardelli et al., 2019, p. 66): do not just make a single “take-it-or-leave-it” offer but put several “negotiation packages” together that are of equal value. Those who put together several such negotiation packages are seen as more cooperative by the other side. This behavior not only measurably improves the economic outcome of the negotiation for the party that makes the offer, but also leads, as a pleasant side effect, to a better relationship on a personal level (relational gains).

It is detrimental to one’s negotiation success to allow the other side to drive a wedge between your team members. This can be tempting when team members from different departments (e.g., law, business, and technical) do not have a common, united understanding of what they want to achieve. For instance, one side may seek to deliberately create the impression among the technicians that an agreement could be easily reached if the other’s lawyers would “step back and stop complicating things”. Agreeing on a common line in advance and touching base with one another along the way are crucial actions that must be taken for team cohesion in any business transaction. It is up to the contracting parties themselves to shape their cooperation constructively. The ideal situation is reached when both sides move as far as possible into a value-creating mode of negotiation without disavowing the justified requirements of value distribution.

Figure 6: The Contract in the Customer Negotiation



Source: Berkel (2016), p. 200.

3.3 The Internal Process: Risk Quantification and Approval

The typical image of a negotiation is of two or more people in suits sitting across from each other at the “negotiating table”, trying to agree on all points of the contract. On one side sit the negotiators of the supplier, on the other side, those of the customer. Exchanges usually also take place in writing, with short clarifications by telephone. Often, business dinners take place. In many cultures, it is not desirable to meet and start negotiating straight away. Since COVID-19, negotiations have been conducted almost exclusively via videoconferencing (Movius, 2020). Often, there is more than one round of negotiations (Heussen & Pischel, 2014).

However, this external process is only part of the negotiation. Typically, an internal process takes place in parallel. The contract in its entirety, and especially its critical issues, must be approved internally. The negotiators at the table usually do not have the authority to conclude any deal they like. Rather, they act within the specific powers granted to them by management. Therefore, the final “okay” in the external process can only come after the internal okay. This section will look at this process in detail.

Risk Quantification

When we speak of “critical issues”, we mean provisions in the contract that have a major impact. Not all provisions have such an impact. Take, for instance, a provision, according to which “all technical notifications have to be addressed to the project office for the attention of Manager X.” While such a clause may have great practical relevance for the individuals that will later be working on the project, its overall economic impact on the transaction will be rather small. Let us return to our satellite case to see a provision where the opposite would be the case. A provision whereby the liability of Satellites International GmbH for consequential damages caused by a defect is unlimited (e.g., think of a satellite falling out of orbit due to a material defect, disrupting other satellites, or re-entering the atmosphere and crashing into a high-rise building) would most definitely be considered critical. The contract price is always considered a critical issue. So are the key risks that the transaction in question entails. The parties therefore have to distribute amongst themselves. Of course, the supplier, just like the customer, cannot reject all risks. How, then, can each party determine for itself whether accepting a specific risk is economically justified? Making an informed decision requires the quantification of these risks. How is this done?

The risk must be first identified, with each contracting party estimating for themselves how high the occurrence of the risk and the associated costs are. This assessment can often not be expected to be completely accurate. No one knows in advance whether damage will occur or how high exactly the resulting costs will be. However, companies can draw on empirical data.

Let us say Indonesia Television 1 insists on a seven-year warranty period, during which all defects should be repaired at the expense of the supplier. If its satellites have, on average, had one defect per year (with each repair costing an average of six million euros), Satellites International GmbH has a benchmark to assess how much this provision will cost. This is calculated as follows: $1 \text{ defect per year} \cdot 0.7 \text{ years} \cdot 6 \text{ million} = 42 \text{ million euro}$. On this basis, different variations of the warranty clause can also be assessed. Perhaps the repair cost is minimal in the first five years, climbing above the average value considerably thereafter. Or perhaps other remedies would be less costly to the supplier such as the replacement of defective parts as opposed to their repair, but of equal value to the customer. Or perhaps the use of specific high-quality parts—while costly at first—could dramatically decrease the likelihood (and cost) of defects occurring. Contract managers who know their product well can, with the help of their technically knowledgeable peers, quantify different variations of the clause in question. The same is true for the customer. In our case study, Indonesia Television 1 must determine for itself what costs are associated with a partial or complete failure of the communication satellite. What about advertising contracts and viewers? Here, too, it may be possible to fall back on empirical data to assess the situation.

Quantifying risk is not only necessary for the parties to assess the economic impact of the contract they are negotiating. It may also be required by the law or good accounting practices. A company that accepts a non-negligible risk must reserve a certain monetary

amount as “risk contingency” in project calculation so that it will be reasonably able to deal with that risk, should it arise (Berkel, 2021, p. 6). This has a direct impact on the company’s results and is therefore certainly an issue that management must approve.

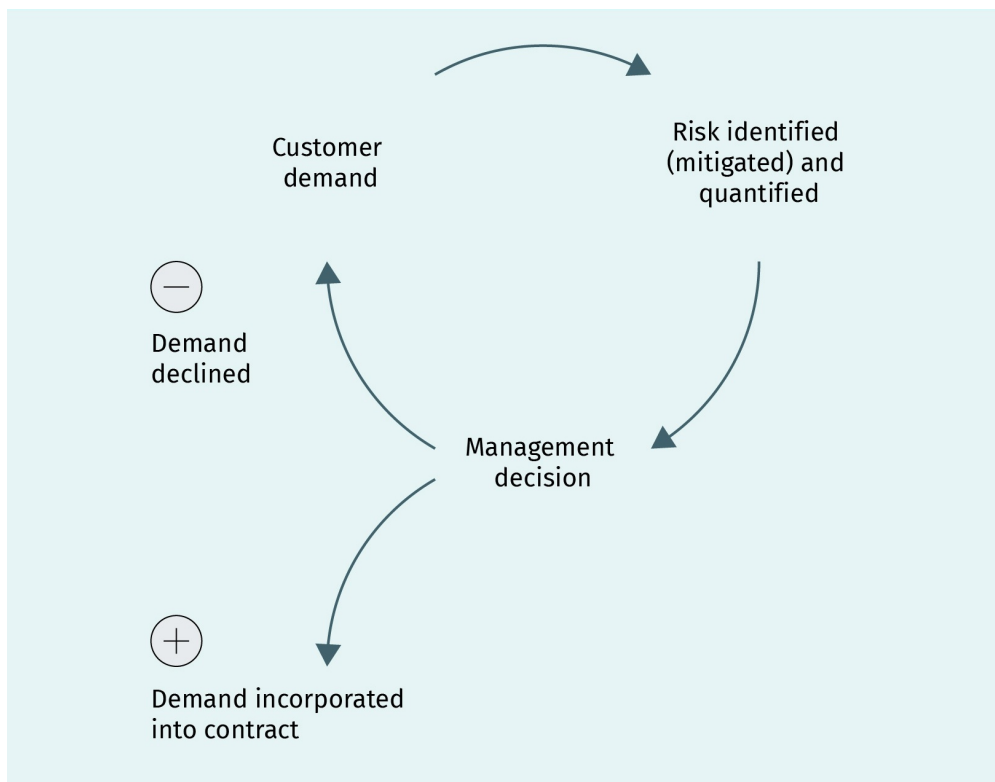
Internal Approval

Most customers will not accept a supplier’s first contract offer. The customer knows that the supplier assumes that their own proposals will be changed because the supplier is prepared to make concessions (even if the supplier is bluffing and pretends that their first offer is their best). Therefore, the customer will always want to negotiate the offer.

The customer will naturally only demand adjustments in their own favor: this often results in a deterioration of the supplier’s position. For the supplier, this means that their situation will worsen when compared to the first offer. When the supplier sends a representative to negotiate the offer, this representative will therefore often have received authorization to make more concessions than included in the original offer. If the customer demands concessions beyond that point, or raises entirely new demands, the negotiating team will have to turn to their management again in order to seek their approval for meeting (or declining) these demands. Consider the following example: The management of Satellites International GmbH authorizes its lead negotiator to accept a maximum penalty for late delivery of 0.15 percent of the contract value per day. In the course of negotiations, it emerges that Indonesia Television 1 is prepared to commission Satellites International GmbH with the maintenance of two other satellites. These would be particularly lucrative contracts. At the same time, Indonesia Television 1, which has had a bad experience with delivery delays in the past, is demanding that the proposed 0.10 percent per day be raised to at least 0.25 percent per day. Despite a significantly higher risk with regard to the contractual penalty, the result for Satellites International GmbH could be much better overall due to the additional business opportunity of the two additional maintenance contracts. The lead negotiators therefore submit this decision to management for approval.

The internal approval process is often an ongoing process. It is best understood as an iterative process between the other side and the management of the negotiators (Berkel, 2016). The internal approval process is only complete when the contract is approved in its entirety and can be signed (or when the contract negotiations are broken off without agreement). When, and whether, a contract is concluded depends on the project and the parties. In large projects, however, it is quite common for negotiations to last for months.

Figure 7: Negotiation as an Iterative Process Between Customers and Own Management



Source: Berkel (2016), p. 242.



SUMMARY

This unit introduced us to the second phase of contract management. This phase starts when the supplier submits the offer. If the customer considers the offer to be worth discussing, the parties enter into negotiations. These can take a long time and end with the signature of the contract. As with the preparation of the offer, both sides usually work together in teams from diverse professional backgrounds (e.g., engineering, finance, legal, and tax). Frequent coordination is necessary because otherwise there is a risk that the other side will exploit the lack of coordination.

Parties should try to follow a primarily value-creating negotiation style and to get as much as possible out of the project together (“expand the pie”). Often, there is great potential for both sides to reap large benefits. The pursuit of a win-win strategy is helpful, especially in the case of the planned. At the same time, however, value-distributing (win-lose) negotiations must also take place. The created value must be distributed. However, there are risks in the unplanned that at least one party must

bear. Risk mitigation only works up to a certain point. The value-creating and the value-distributing styles of negotiation are thus in contradiction to each other and yet are inseparable. This is called the negotiator's dilemma.

Negotiations do not only take place between the parties, but also within each party internally. Negotiators may only make promises that they are internally authorized to make. This is especially relevant when it comes to things like price and major risks. The internal approval process therefore requires the quantification of the contractual risks.

UNIT 4

PHASE III: IMPLEMENTATION

STUDY GOALS

On completion of this unit, you will be able to ...

- identify when the execution phase begins.
- explain the main tasks of the contract manager during the execution phase.
- describe how claim management and conflict resolution work in practice.

4. PHASE III: IMPLEMENTATION

Case Study

Thomas, the head of sales at Satellites International GmbH, is pleased. After long negotiations between Satellites International GmbH and Indonesia Television 1, the contract has been signed. His German employer has been awarded the contract and will manufacture a communication satellite. After completion, Satellites International GmbH will also put the satellite into orbit and carry out training measures. It is estimated that these services will take fifteen months to complete from the date the contract comes into force.

Thomas happily informs his team that there will be a small celebration on the first day of the execution phase and at the end of the project in thirty-six months. “So stay on board for at least three more months, otherwise you'll miss the first celebration,” Thomas says jokingly to the group. “Whether at the end of the project we still have reason to celebrate remains to be seen. But I am confident.”

Hans, a trainee in the sales department, doesn't quite understand why they are waiting another three months; his internship will already be over by then. He also doesn't understand why the end of the project will only be in three years, when everything essential is supposed to be done within fifteen months.

Hans asks his mentor, Julia, to answer the following questions for him:

- Why does the execution phase of the project not start right away?
- Why will the project not be completed for another three years, and why is not even certain that it will then?
- What happens in the execution phase and what could go wrong?
- How can conflicts arise when the contract has been signed and the parties are in agreement?

4.1 The Coming into Effect of the Contract: Conclusion and “Conditions Precedent”

Contracts are concluded when the offer of one party is accepted by the other party. At first glance, this seems a straightforward matter: the supplier makes an offer, and the customer (after some negotiation) accepts it. However, regardless of the jurisdiction, matters are typically more complicated than this. Legally, an acceptance must refer to the offer that was made. If the customer wants to accept an offer that the supplier has not made in this form (for example, because they want something different from the initial offer), this does not properly constitute acceptance. The acceptance must be completely congruent

with the offer. It essentially must consist of the declaration: “Yes, I accept this offer.” Such a declaration is only possible if the offer corresponds fully to the will of the acceptor. As we have seen, negotiations take place precisely because the first offer of one party is not usually entirely acceptable to the other side. So, if the customer wants to deviate from the offered conditions, they are now making a counteroffer. From a legal point of view, this procedure is equivalent to a rejection of the offer and the simultaneous submission of their own (counter)offer. Let’s look at an example.

A few weeks prior to contract signature, Satellites International GmbH and Indonesia Television 1 had a particularly productive negotiation stretch. In an intensive three-day meeting, significant progress was made and many common interests were identified. Satellites International GmbH sought internal management approval and revised the 650-page draft contract in accordance with the discussion. Finally, they sent it to Indonesia Television 1. A prompt reply was received from Indonesia by e-mail: “Thank you very much. We now think that the contract is ready for signature. The only amendments that are necessary before signature are the following: Clauses 5.23, 7.1 and 24.6. These need to be amended as follows...” This does not constitute an acceptance of Satellites International GmbH latest offer; rather, Indonesia Television 1 has made another offer. When the German company was indeed able and willing to accept the very last amendments proposed by its Indonesian partner (clauses 5.23, 7.1, and 24.6), they became the ones to accept the offer made by Indonesia Television 1.

As you can see, it is not necessary for an offer to be made by (or a contract to be concluded based on an offer by) the supplier. It is also not necessary for the parties to label the drafts they exchange as “counteroffer” for the process to work. Finally, the question of who has made the latest adjustments to a contract draft that is exchanged between the parties is also not relevant here. What commonly happens, in practice, is that the parties exchange a document in which they have made amendments (usually with tracked changes) or suggestions (as comments in the document). This can also be done provisionally, e.g., on the condition that their management will approve a certain step or on the condition that the other side makes a certain trade-off offer. This is a process that can go through quite a few iterations. It is not necessary to keep track of whose was the latest offer.

What is significant here, however, is that there is no agreement until everything has been negotiated. If the parties have already agreed on 99 percent of the clauses, but just cannot find common ground with regard to the very last clause, they “agree to disagree”. The last (counter-)offer (from whichever side it may come) is ultimately not accepted by the other side. This makes clear that all prior “agreements” were only made in principle: they are conditioned upon the entire contract draft being fully agreeable to both sides. It is also perfectly possible for both parties to reach the opposite conclusion: “We have negotiated for a really long time, and both done our best, but we now realize that fundamental differences in understanding remain and no agreement acceptable to both sides can currently be found.”

There is an important exception from the principle that the parties only really conclude the contract when the very last offer is in its entirety accepted by the other side. In certain constellations, it is possible for the parties to enter into a contract with some provisions having not been agreed to by both sides. You may have heard of these constellations

under the name “battle of the forms” or “last shot rule” (Thomson Reuters, 2021). This occurs when the general terms and conditions of the parties collide but the parties nevertheless proceed to execute the contract. General terms and conditions are contractual terms that a party has pre-formulated for a large number of transactions. Think of the “small print” that is often attached to commercial offer or order forms. Depending on the role a party takes in a transaction, these have different names. The same company may have a set of “General Conditions of Procurement” and “General Sales Conditions”: they choose which to use on a case-by-case basis. For instance, they may attach these general conditions to their first offer: “We herewith offer you the purchase of our Product X for a price of P plus VAT, based on our General Sales Conditions (see attached). This offer is valid until date MM-DD-YYYY. We hope this offer meets your interest and look forward to hearing from you.” It is not uncommon for the other side to respond: “Thank you very much for your offer. We are happy to inform you that we accept it based on our General Conditions of Procurement (see attached).”

The problem here is that, while the parties have clearly not found common ground with regard to the terms and conditions of the transaction, they nevertheless often proceed to execute the offer, e.g., by making payment and delivering the product. Both parties apparently assume that their own general terms and conditions apply. But both cannot be true at the same time. The respective general terms and conditions are typically diametrically opposed. They have been drafted precisely with the aim of maximizing the benefit of the party that uses them. They are supposed to represent the company’s “default” position, i.e., to reflect the contractual conditions that will apply if nothing else is explicitly negotiated. Hence, not only the general conditions of a supplier and the general conditions of a buyer will usually be complete opposites: even the general sales conditions and the general procurement conditions of the very same company will usually entail completely opposite terms. So, in the absence of one commonly drafted, negotiated, and agreed to contract document, the question arises which conditions should apply to the transaction. The conditions of both sides, figuratively speaking, “battle” for prevalence.

Consider the following example: The Swiss company Zurich Instruments GmbH would like to buy 10,000 printed circuit boards from the German company Bavaria Electronics AG. Bavaria Electronics AG send a one-sided offer with a purchase price and delivery date, on which “our offer is made on the basis of our general terms and conditions (enclosed)” is noted. Zurich Instruments GmbH agree to the purchase price and delivery date and send an order to Bavaria Electronics AG on which the purchase price and delivery date are identical to the offer. At the end of the order, however, it is stated that their order is “placed on the basis of our General Terms and Conditions of Purchase (see appendix).” Bavaria Electronics AG is pleased about the order and sends a document with the order confirmation. It confirms the purchase price and the delivery date and writes at the end: “Thank you for your order, which is accepted on the basis of our General Terms and Conditions of Purchase (attached).” No further documents are exchanged between the parties. Instead, the parties commence carrying out the order. Bavaria Electronics start production and Zurich Instruments makes the first instalment of the agreed purchase price. Both sides apparently assume that they have concluded a valid contract. But what exactly is the content of this contract?

It is clear that the parties have agreed on the purchase price (including the instalment plan) and the delivery date. Regarding the other provisions (e.g., delivery conditions, place of jurisdiction, and applicable law), the question arises as to which general terms and conditions (if any) are to be given preference. Should it be those of B GmbH, because it was the last to send its general terms and conditions with the order confirmation? Or should the general terms and conditions of purchase be used because A GmbH ordered on the basis of these? As is to be expected, the different terms and conditions can lead to widely differing regulations: the general terms and conditions of B GmbH contain the **Incoterms** 2020 Ex Works (EXW) delivery condition (International Chamber of Commerce, n.d.). However, the general purchasing conditions of A GmbH stipulate Incoterms 2020 Cost, Insurance, and Freight (CIF). Under Incoterms EXW, the seller delivers in accordance with the contract if they make the goods available to the buyer at another named place of delivery (e.g., factory or warehouse). Under Incoterms CIF, the seller must deliver the goods on board the ship. In our example case, the seller has provided for Incoterms EXW in their general terms and conditions. The buyer, however, provides for Incoterms CIF.

Incoterms

These are internationally recognized rules published by the International Chamber of Commerce that act as essential terms of trade for the sales of goods.

This provision is similar to many others. For example, the seller makes the assumption that German law applies, while the buyer assumes that Swiss law applies. There is also a contradiction when it comes to the settlement of disputes: one side stipulates a process before the state court of its home country, while the other side provides for mediation with subsequent arbitration according to the dispute resolution rules of the International Chamber of Commerce. Which rules should apply here? As is so often the case, the parties in our example only become aware of the problem when the contract execution does not go according to plan. Bavaria Electronics AG has completed production of the 10,000 circuit boards and now informs Zurich Instruments GmbH that they are ready for collection (the reference to the company's own general terms and conditions is also made again in this notification). Zurich Instruments GmbH is astonished: after all, they had ordered the delivery of the PCBs and do not want to collect them. In short, Zurich Instruments GmbH insists on its own terms and conditions of purchase.

In solving this legal problem, we can assume that both parties think that they have a valid contract. Otherwise, they would not have commenced executing it in the first place. By doing so, they have indicated that any potential remaining discrepancies should not stand in the way of execution. In this scenario, courts all over the world would therefore also generally assume the existence of a valid contract. The question therefore becomes which conditions apply to the parts of the contract that are in conflict with one another. To resolve this question, the theory of "the last word" was sometimes used in earlier times (Riihl, 2003): the general terms and conditions that were submitted last are the ones that apply. This theory, however, was soon recognized as not very sensible and it led to a spiral of repeatedly resubmitted general terms and conditions, because each party tried to have the last word by submitting the very last confirmation of the order based on their own conditions. This did not make much sense, and the result was hardly satisfactory.

Nowadays, the solution is usually the "knock-out" rule: none of the conflicting terms of the parties apply. These cancel each other out and are replaced by the provisions of the applicable law. Provisions that do not contradict each other are unproblematic and apply unchanged. In our example above, according to the rules of private international law, the applicable law may be Swiss law or German law. The same solution could be found for

every other provision where the terms and conditions of the parties contradict each other. The battle of forms problem is especially significant for the supplier. The law, in most jurisdictions, is disadvantageous to the supplier. The supplier would often have to assume very high risks. For example, we have already seen that if the supplier causes damage, they are generally liable for it. In large projects in particular, the risk of exorbitant damage is so high that the supplier must limit their liability—otherwise, the business itself would not be feasible. In order for the supplier to enjoy any limitation to their liability, however, an agreement must be made with the customer (Berkel, 2016). To achieve a clear regulation with their respective business partner, the parties must negotiate everything that is important to them. The mere use of general terms and conditions is less suitable for this due to the problems described.

Conditions Precedent

Not all contracts agreed upon by supplier and customer come into effect from the moment they are signed. It is often the case that one or more preconditions for the project must be met before the contract can come properly into effect. Such preconditions vary from project to project. It may be the case, for example, that the financing has not yet been secured by the customer. There may be a need for official approval of the project, which is still outstanding. Public funding may have to be received by both parties so that the project makes sense to them economically. These preconditions are specified and included in the contract under the headline “Conditions Precedent.” These postpone the coming into effect of the contract until the one or more future events have taken place.

You may have noticed that the examples we have mentioned have one thing in common: the occurrence of the outstanding event is not dependent on the parties themselves. Here, the contingencies depend on the actions or decision of a third party (such as a bank, public authority, or investor). It is an important feature of the conditions precedent that they should be outside the sphere of influence of the parties. If one party has influence over these conditions, that party can unilaterally decide whether the contract will take effect. This would give them an unfair advantage that they could use to extract further concession from the other side, who had, in good conscience, signed an agreement that it thought was already valid (Berkel, 2016). A clever contract manager will therefore see to it that the conditions precedent only includes events dependent on third parties.

4.2 Contract Performance and Liability for Material Defects

The execution phase usually starts when the contract takes effect. This may be immediately upon signature, at a pre-determined later date, or once conditions precedent have been met.

Satellites International GmbH and Indonesia Television 1 have already agreed on the contract on March first (the date of signing). In Indonesia, a digitization program is taking place from June onwards, which, among other things, will also include subsidies for satel-

lites. However, funding will only be provided for work that takes place from June onwards. Satellites International GmbH and Indonesia Television 1 are very much on schedule in this respect. In fact, they geared their negotiations towards concluding a contract in the summer because they want to benefit from this funding. They planned to share the public subsidy at a ratio of 80 percent (Indonesia Television 1) to 20 percent (Satellites International GmbH). To their surprise, they have come to an agreement faster than originally planned. Satellites International GmbH will only start executing the contractually agreed work in June. So, when the contract was signed in March, the parties agreed that the contract should come into force on June first.

So, the execution phase of the contract begins when the contract takes effect. But when does it end? For this purpose, we must distinguish the parties' primary obligations from the secondary obligations, which continue to have an effect beyond the completion of the primary obligations (e.g., warranty provisions). In principle, the parties have fulfilled the contract when they have performed their main obligations (e.g., by having constructed a motorway, having delivered 100,000 tons of copper, having performed consulting services, or having paid the contract price in full). In many contracts, especially when it comes to infrastructure or production plant construction projects, the customer's acceptance of the delivered product is the prerequisite for the supplier's completion of its primary obligation. The customer checks the contractual conformity of what has been delivered and confirms this with their acceptance.

During this stage of the contract execution phase, both parties must deliver what was promised in the contract. The supplier must usually carry out most, or even all, of the activities, while the customer just has to make the promised payment. Designing, producing and delivering goods or machinery requires more time and resources than making an on-time payment. But it may also be the case that the customer must carry out specific activities for the supplier to be able to do its job. Examples include preparatory work or the procurement of public permits. For example, Satellites International GmbH and Indonesia Television 1 have agreed that Satellites International GmbH will launch the satellite into orbit. However, this is only possible if its exact coordinates are known. After all, a satellite cannot simply be launched into the sky blindly. Only when Indonesia Television 1 provides Satellites International GmbH with the exact coordinates can the latter provide its service. If Indonesia Television 1 does not provide these coordinates in time (as was stipulated in the planned part of the contract), any resulting delay or increase in cost must be borne by them.

Additionally, the parties have agreed on extensive training measures for the Indonesian personnel of the customer. They are to be carried out in Indonesia. Before concluding the contract, the contracting parties discussed in detail the kinds of infrastructure necessary to conduct training measures (e.g., appropriate premises, special computers and monitors, and required software). All of this is described in detail in contract and its exhibits. If Indonesia Television 1 has not made the necessary infrastructure available by the contractually agreed time, the training cannot be carried out: they have not fulfilled the necessary preparatory work. Satellites International GmbH are then not liable for any resulting delay or extra cost.

How the contract is executed varies from project to project. The construction of a satellite, as in our example, is certainly very different from the construction of a power plant, the provision of training, or the provision of consultancy services. Someone who delivers 50,000 mobile phones must fulfill a quite different promise than the one that was made by the engineering, construction, and procurement (EPC) contractor of an oil production plant. Many of these contracts, however, have the requirement of acceptance in common. The supplier is only deemed to have fulfilled its material obligations under the contract when the customer declares their acceptance. And this acceptance, again, may entail quite different checks. In the case of delivering mobile phones, for example, the customer will carry out random tests (as not all 50,000 units can be tested). In the case of an oil production system, the customer will test the plant functionality thoroughly, usually through various trials runs. The specific conditions under which acceptance of the delivered goods takes place has been carefully agreed by the parties when they drafted the scope of work of what is to be delivered to the customer.

With the acceptance, the planned work has been completed and the supplier has fulfilled their primary obligations. Often, minor deficiencies are discovered during the acceptance procedures. If they are not substantial, they need not hinder acceptance. Consider, as an example, that two light switches in a power plant do not work or fittings are dirty. None of this has any effect on the power plant as a whole, so there is nothing to prevent acceptance. Rather, a list of “open items” is drawn up, and the supplier subsequently remedies the deficiencies in question. Nevertheless, the contract is considered basically fulfilled, and the warranty period commences. If major promises have not been fulfilled (for example, if the solar panels on the satellite in our example do not work properly), acceptance does not take place and the supplier remains obliged to fulfill what it has promised. The warranty period does not start, and penalties may become payable for late delivery. Depending on the project, in addition to the warranty period, another contract may come into effect upon acceptance. This is the case, for instance, when the supplier has not only agreed to build a power plant for the customer, but also, upon its acceptance, to carry out its operation on behalf of the customer. The customer, who will own the power plant, may or may not have the expertise to operate it. Public utility companies that own many power plants usually do. If, on the other hand, the customer is just a project company set up by financial investors, it may choose to outsource the operation of the power plant to an entity with the relevant expertise. In this case, the future owner of the power plant may decide to hire the supplier of the power plant to operate it upon completion. As such, the owner has no expertise in operating power plants and is happy to outsource that responsibility to the supplier. In such a scenario, the contract for the operation of the power plant commences when the EPC contract has been completed by way of acceptance.

Irrespective of any further cooperation after the completion of the project, the customer must also follow through on its own promises, such as actually accepting the plant when it complies with the agreed upon acceptance criteria or payment of the contract price. Payment of the contract price typically takes place in one of three ways:

1. Payment of the full price at the start of the project
2. Payment of the entire price upon completion of the project
3. Partial payments after the achievement of **milestones** throughout the project

Milestones

These serve to divide the project into individual stages. They consist of

The first and second approaches are often not desirable for one of the parties. In each case, one side gets all that it is owed without the other side having yet received anything in return. No supplier wants to pre-finance and complete the entire project without receiving a single cent. Similarly, no customer wants to pay the entire price before any work has been done. The parties will therefore often agree on a solution along the lines of the third approach. In this case, a sizeable down-payment is often stipulated (to allow the supplier to procure production materials and commence production), along with a sizable last payment that is to take place only upon acceptance (or even upon completion of the subsequent warranty period). They may also agree on certain milestones on the way to project completion. This may be the receipt of individual shipments in our mobile phone example, the laying of a production plant foundation, or the provision of electrical and water installations in our power plant example. Partial payments are made whenever a specified milestone is reached. In practice, the partial payment often corresponds to the expenditures necessary for reaching the milestone in question. Thus, if the construction of the foundation accounts for 15 percent of the total project cost, it is typical that 15 percent of the project budget is allocated to it. The parties can agree on a milestone payment that makes most sense to them.

intermediate goals on the way to full completion of the contract. This allows the parties to plan and monitor the progress of a project better while avoiding undue risks.

After acceptance, the second phase of execution begins. The supplier is typically liable for material defects for a certain time: the warranty period. In the contract, the supplier had warranted that the deliveries made would be free of defects during that period. If a defect should arise during the warranty period, the supplier will remedy it in accordance with the warranty provisions, e.g., by repairing or replacing the defective part or by compensating the customer for any resulting damages.

What happens in a specific project of course differs from case to case. This is where the parties will find out whether the risk quantification that they had previously carried out in negotiating the warranty provisions were, in fact, accurate. As you can imagine, when a problem does occur, the parties do not necessarily agree on how the contract should be interpreted. The supplier may argue that the problem arose because the customer handled the product incorrectly, while the customer may argue that the supplier had delivered a defective product. These are often technical questions that experts can discuss. The parties must try to resolve such conflicts within the framework of conflict resolution that they had agreed in the contract.

4.3 Goals of Claim Management

In the execution phase, contract management takes the form of claim management. Claim management is about enforcing one's own contractual claims against the contracting party and, at the same time, defending against the contracting party's unjustified claims. All activities that support these two goals are part of claim management. Claim management can be divided into three different approaches (Berkel, 2016):

1. Safeguard earnings by complying with what has been contractually agreed, and by making the corresponding claims, e.g., by invoicing the completion of agreed upon milestones.
2. Safeguard earnings by defending against unjustified claims of the other side (sometimes referred to as counter-claim management), e.g., by documenting that a delay was caused by the other side.
3. Increase earnings through the assertion of additional claims, e.g., by invoicing additional services that were ordered separately by the other side after signature of the original contract.

Safeguarding Earnings by Complying with What Has Been Contractually Agreed

The contract between Satellites International GmbH and Indonesia Television 1 promises, among other things, that the satellite will be put in orbit. This is undoubtedly one of the main obligations of Satellites International GmbH. The satellite is launched from a spaceport in India. This requires a high degree of coordination between the spaceport and Satellites International GmbH, who are responsible for the launch. From the beginning, Indonesia Television 1 has asked to be kept informed about the talks between Satellites International GmbH and the spaceport. Priyanka, an expert at Indonesia Television 1 who is working on this project, is originally from India. She gets on very well with the people at the spaceport. After being copied in on the email correspondence, she starts communicating with the spaceport herself and takes initiative in building a working relationship with them. This is good for Satellites International GmbH because it means much less work for them. It also reduces their costs considerably: originally, three trips to India were planned for two to three project staff members. They were to spend one week there each. In the end, however, Satellites International GmbH does not make any of these trips. Priyanka has already taken care of everything.

Finally, the satellite is launched and placed successfully in orbit. Satellites International GmbH sends the corresponding invoice, which includes both the costs for the spaceport in India and all other services relevant to the launch of the satellite (for the time being, the spaceport costs have been taken over by Satellites International GmbH). Priyanka sees the invoice and is surprised because she herself had carried out some of the activities now invoiced to Indonesia Television 1. She assumed that it had been Indonesia Television 1's job to take care of the launch.

This example is based on a real transaction the author witnessed in practice. This may come as a bit of a surprise to you. How can it be that one party does not know what its obligations are? And how can the other party charge for services that it never performed? Unfortunately, this is nothing out of the ordinary. Rather, what was witnessed in this example is in line with a phenomenon described by Berkel (2016): "It can be downright frightening in practice how little the project manager cares about the contract. Thus it is not uncommon for the contract to be read only in part" (p. 215). Unfortunately, it is all too common for individuals on either side of a transaction to follow their own, sometimes superficial, understanding of the project rather than going through the trouble of reading the contract.

One obvious reason for this phenomenon is that the people who negotiate the contract are not necessarily those who are responsible for its execution. When they begin executing the project, it is no surprise that they are not as well versed in the transaction as the drafters of the contract themselves. Those responsible for the project are usually not lawyers either. Completing the project is often more in their focus than dealing with the nitty gritty details of the contract. This, of course, also happens on the supplier side. It is not uncommon for project managers of the supplier to dive deeply into the technical annexes of a contract, which describe the specifications of what they must accomplish but neglect the main body of the document.

The supplier may then, for example, erroneously assume that they must do the preparatory work. In reality, the main body has ascribed these works to the realm of the customer. These examples make clear that it is crucial for a contract, once signed, to be handed over in the proper manner to the personnel who will execute it. In large transactions, everyone that was involved in negotiating the contract and everyone that will be involved in executing it, get together for a few days of communal “contract reading”, where the entirety of the transaction is explained. Responsibility is then handed over to the execution team.

Misunderstandings about the extent of responsibility are particularly common. If the contract states that “the supplier shall use its reasonable endeavors”, the obligations are typically much less than if the supplier “shall use its best efforts”. Even if this does not make it clear what exactly should be done, you can see that there is a huge linguistic difference. In this context, it is crucial to understand the difference between **reasonable endeavors** and **best efforts** clauses. They may sound similar, but they are not the same. Unfortunately, the terminology chosen for a clause alone often does not make it entirely clear which effort is necessary. The entire wording of the respective clause must be analyzed. This is a matter that can only be clarified by individuals with the necessary legal knowledge of how such clauses are interpreted in the jurisdiction at hand.

In defense of project managers who internally set the course during the execution phase, it must also be said that contracts are often not clearly understandable. If, under great time pressure, final negotiations must be completed quickly, unclear or ambiguous clauses sometimes find their way into the agreement. It is too much to expect a project manager with only very basic legal training (if any at all) to interpret the contract correctly without the help of experts. For this very reason it is necessary that not only is there a proper handover from the contract team to the project team, but that the contract team continues to provide support throughout the execution phase. This is especially important at the beginning of the project. Once one’s own interpretation of an unclear provision has been communicated to the customer, it is difficult to change this position later. Finding and maintaining a common line vis-à-vis the contractual partner is therefore a necessity for every party. To minimize the risk of not doing so, many companies have begun to reward the negotiation team not only based on a concluded contract, but also based on how successfully the contract was executed thereafter. This may provide greater incentive to the individuals working in the different phases of the project to work together.

Reasonable endeavors clause

This clause requires that at least one strategy to achieve a promised goal is pursued.

Best efforts clause

This clause stipulates that a party pursues other options when the planned strategy is not successful, even though the costs and efforts required for this may be limited.

Safeguarding Earnings by Defending against Unjustified Claims of the Other Side

Such a common approach is even more important if the other side makes unjustified demands. No supplier will categorically reject all demands. However, it would also not be right to accept all demands right away. Rather, the project manager must consult internally with lawyers and, if necessary, other persons who had been responsible for negotiating the contract. Together, they can best assert what had been agreed and then develop a defense strategy against the unjustified claim. What seems complex to an individual project manager can often be solved quickly in through cooperation, as the legal department involved in drawing up the contract may easily clarify to the project manager what was specifically meant by a certain provision.

Increase in Earnings through the Assertion of Additional Claims

In a project, things almost never go completely according to plan. It often happens that the customer demands changes during the project. The question arises here whether the supplier is entitled to additional payment for making these changes. As a general rule, the supplier will often think so, while the customer will often not agree.

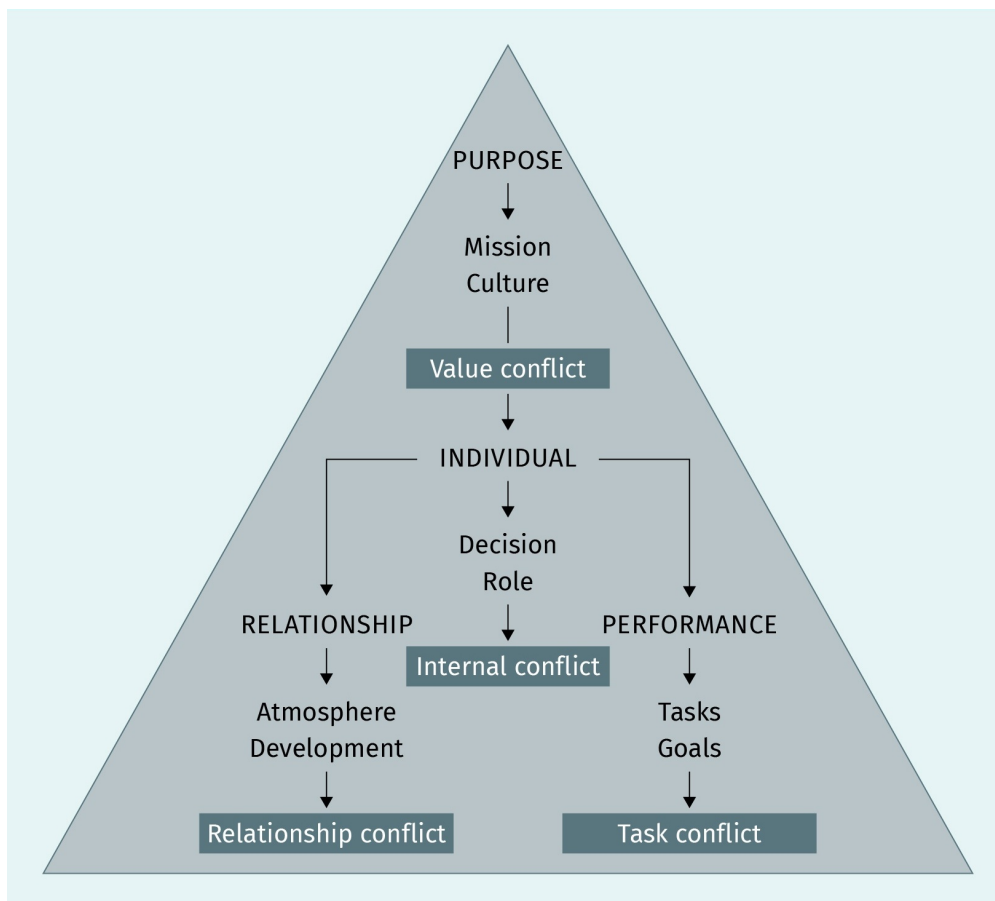
Even when the contract is clear on the issue at hand, it is important to the parties to take each other's claims seriously and respectfully. For one, the legal situation is often not as clear cut as a party may assume. Even if the other side is mistaken in its interpretation of the document, they will hardly be thrilled to be told that so bluntly. It may even be reasonable to concede unjustified claims in view of the bigger picture (e.g., the relationship with the customer, one's own reputation in the market, or cultural particularities). Those who act too aggressively can very easily ruin their reputation. What good would it do if you were to succeed in making a minor claim, or defending against one, if you are "burning all bridges" for further cooperation? A joint project is often compared to having a child: complications and problems are to be expected, and it is the responsibility of both "parents" to handle them reasonably. Showing goodwill in responding to the other side's claim also often elicits goodwill when it is needed. While claim management consists of the three tasks outlined, fulfilling these tasks is not a formality. Responsible claim management must pursue a holistic strategy.

4.4 Claim Management as Conflict Management

The conflicts described so far have always been disputes about the "matter at hand." But conflicts can also arise for completely different reasons. It often happens that parties argue only because the involved individuals do not get along on a personal level. If Hans has made an inappropriate remark to Priyanka, she may react unfavorably to later requests by Hans. Hans, who might feel her response is unreasonable, may repay her in kind at the next opportunity. Conflicts on a personal level can easily escalate into larger conflicts. When the contracting parties come from different cultural backgrounds, tact is

required. Correct communication can have a very positive effect, while incorrect communication can have an even more negative effect (for communication, especially in conflict situations, see Patterson et al. (2002)). Aside from factual conflicts and relationship conflicts, one can also distinguish between value conflicts and inner conflicts: Berkel (2020) visualizes the different types of conflict and their focus in the following figure. It also shows what the focus of these conflicts is.

Figure 8: Types of Conflict According to Karl Berkel



Source: Berkel (2020), p. 22.

A value conflict, for example, often revolves around the mission of the company in question or its corporate culture (think, for example, of the pacifist founders of Satellites International GmbH). In the case of a task conflict, the focus is on the issues of agreed performance and consideration, especially given the goals pursued by the contract. And in the case of relational conflict, it is often a question of the climate of the discussion and the question of how the relationship between the parties will develop further (Berkel, 2020).

If it turns out that Indonesia Television 1's communication satellite is also to be used for military purposes, and Satellites International GmbH categorically rejects military operations based on pacifist considerations, one can speak of a conflict of values. Such conflicts may also result from cultural differences. Internal conflicts, conversely, take place within

an individual. They therefore only affect one contracting party (or one person within the contracting party). Typical examples are situations in which one must decide between two equally desirable outcomes (or, alternatively, decisions where one must choose the lesser of two evils). The various types of conflict often go hand in hand with each other. What starts as a difference of opinion can grow into a fully-fledged relational conflict. Such a conflict can be fueled by (real or imagined) differences in values. At the same time, those involved often struggle with themselves as to how best to behave towards the other party.

The immediate focus of claim management is, of course, task conflicts. The circle around the question of the contract should be executed. Claim management deals with the resolution of these conflicts. One should also keep in mind that the trigger for a task conflict may lie elsewhere. If Peter, who works for the customer, feels disrespected by Laura, who works for the supplier, he may intentionally make her life harder and fight every single claim she raises unreasonably. He does not do this for rational reasons, but purely because of the conflict in the relationship. Claim management is technically not able to address such a conflict. What is needed here is a solution to the problem on an interpersonal level, for example, through a discussion with the help of a third party or even a reassignment of project managers. An apology by the involved individuals to one another often works wonders, far beyond what formal conflict resolution procedures could accomplish. Sometimes, however, such procedures become necessary.

4.5 Conflict Resolution

Conflicts can occur at any time and place. Many companies assume that a harmonious and conflict-free execution will follow the signing of a contract. This is often wishful thinking. Even those who can imagine that a conflict will occur often tend to neglect the topic of dispute resolution. It is, after all, hardly a pleasant one. No one wants a conflict to occur, and that is why the people negotiating the contract often do not want to focus on the topic too much. However, things happen even when we do not want them to. Take car accidents, for example: no one wants to have a car accident, but we all take all kinds of precautions when driving, such as wearing seat belts and driving with caution. In recent years, a great deal of effort has been invested in car safety (e.g., airbags and bodywork) (National Highway Traffic Safety Administration, n.d.). This helps to prevent accidents and to reduce their severity.

If the parties have paid little attention to the issue of conflict resolution in the contract, perhaps even copying and pasting a conflict resolution clause from a different transaction, their dispute resolution mechanism will likely not be ideal. Once a conflict arises, it is usually too late to remedy this. The parties are at odds with one another, which is not conducive to finding a good solution. This is because the parties are then no longer prepared to agree on a suitable form of conflict management (Wagner & Schwartz, 2017).

It is therefore advisable to take great care in agreeing on a proper conflict resolution mechanism when initially negotiating a contract. This mechanism may be called conflict resolution or dispute resolution. Another common name is alternative dispute resolution (ADR), where the process takes place with the help of a mediator or before a (private) court

of arbitration: this is “alternative” because the parties have chosen this mechanism as an alternative to the default procedures of state court proceedings. Note that terminology is not universal here. A **dispute** is understood to be a conflict about a claim that is disputed by the other side.

Dispute

When there is a disagreement about a claim, this conflict is often referred to as a dispute.

Every conflict costs money. Arbitration or state court proceedings swallow up several hundred thousand euros even if the contract itself is only worth a few million euros. Transactions like our satellite purchase can be even more expensive. But even mediation, which is much cheaper, can easily cost a five-figure sum in complex commercial cases. This, too, is only part of the cost. The biggest chunk is usually the internal conflict costs. These are the disadvantages that arise because internal resources are blocked and cannot be used to take care of usual, day-to-day business.

For example, Roberto from Satellites International GmbH is responsible for the development of new types of solar panels. An arbitration case is currently pending between Satellites International GmbH and Indonesia Television 1 concerning the solar panels of the satellite purchased by Indonesia Television 1. Roberto has already prepared a written witness statement with Satellites International GmbH’s lawyers. A further written witness statement is pending, and he is also to testify at the oral hearing. In addition, he has been receiving a call from an external lawyer two to three times a week to clarify technical details. The in-house lawyer also has regular questions, often the very same as the external lawyer. Moreover, the lawyers do not understand everything immediately, so very detailed explanations are necessary. This greatly disturbs Roberto’s usual work routine. Normally, he can do his research in peace; this case has been a considerable distraction. In addition, the arbitration proceedings are always in the back of his mind. It weighs heavily on him, and the thought of having to testify as a witness in an oral arbitration hearing makes him nervous. This has a direct impact on his work performance. He has already missed the deadlines for two projects and has not been able to concentrate for many weeks, as he is constantly ruminating about the conflict.

This example illustrates how conflicts can affect one’s work life. Entire departments can be affected, and some employees may worry that, for example, the case is due to a mistake they have made. They can no longer spend the same amount of time as usual on their actual work and the quality of their work suffers. These costs are not as obviously visible as a bill for 50,000 euro. In practice, however, they are often much more significant than the external, visible costs. We must therefore note that the costs of conflicts are very high, so conflicts should be avoided if possible. As a rule, the best conflict resolution is a quick and efficient one. This is called constructive conflict resolution. In practice, this is far too rarely the case.

Once a conflict escalates, both parties often become stubborn and stick purely to the contract. On the one hand, this serves to protect their own position; on the other, they do not want to accommodate the other side under any circumstances. The former partners in the project are seen as the “others” (or even the “bad guys”). Keep in mind the different types of conflicts: a simple difference of opinion can easily escalate. While this behavior may be understandable, it is usually not very effective. It shows that conflicts always have a human component, which must not be underestimated. It is often this human aspect that

leads to the conflict or makes it more difficult to solve. This is precisely the reason why conflicts should, in principle, be addressed and managed as quickly as possible. A smoldering conflict has a tendency to escalate, as Berkel (2020) points out.

Let us look at another example: Claudia is disappointed. Although Indonesia Television 1 has been promising the first partial payment for three months, no money has been received. Claudia has tried everything: friendly requests, invitations to dinners, sterner requests, threats over the phone, threats in the reminder letter, and even a letter from a lawyer. One day, her assistant puts through a call from Soraya, the project manager at Indonesia Television 1. "I told you not to contact me", Claudia yells into the phone. "I don't believe anything you say, you are a liar! Our lawyer will sue you this week!" In fact, Soraya wanted to tell Claudia that the money can finally be transferred. Now she is personally offended. "We're not paying at all," she tells her subordinates. "Let that arrogant Claudia sue us."

You can see from this example (which is somewhat exaggerated but by no means unrealistic) how important it is to deal with each other respectfully even when solving factual problems. Fisher and Ury (1991) recommend "separating the people from the problem" in dispute resolution (p. 30). In this example, it is obvious that a good mode of cooperation at the task level can only be established when the participants have got their relationship problem under control (which will require Claudia to apologize for her behavior on the phone, and Soraya for not responding to previous requests). This brings us to an even more fundamental issue: in case of conflict, amicable settlement should always be attempted, ideally by negotiation. Why? Because, this way, the two sides meet as equals and their mutual interests are taken equally seriously. Focusing on interests instead of positions also plays a major role in this phase. By asking oneself in a solution-oriented, honest, and non-prejudiced way how one can solve the conflict (interest) instead of constantly repeating one's demands (position), differences can be more easily resolved (Schiffel & Siwy, 2017). To this end, it is usually indispensable to ask oneself how the situation looks from the other side's point of view.

Pre-Trial Conflict Management

Of course, one cannot rely on everything going well based on good negotiation alone. Sometimes (arbitration) court proceedings simply cannot be avoided. In this case, internal documentation plays a very big role. Many court cases are lost because they have been poorly prepared for. For example, a deviation from what was intended must be reported immediately to the other side and not just noted internally. However, a sense of proportion must be applied: Not every small difference should be immediately raised in a lawyer's letter. If there are weekly meetings, a note can be handed over there, somewhat informally and in person. It can also easily be added to the minutes of the meeting.

For example, during the monthly progress review of Satellites International GmbH and Indonesia Television 1, Joseph informs the customer that the delivery of special components to be provided by Indonesia Television 1 is 27 days behind schedule. Soraya replies that it had been agreed with Peter that these special components would only be delivered six weeks later. "Where did we agree that? Show me the contract!" interrupts the nervous

project manager of Satellites International GmbH. The agreement was verbal, so Soraya cannot produce anything. We can vividly imagine that the conversation is now taking an unpleasant course.

Perhaps the problem can be resolved amicably between the two parties without the agreement being documented. However, when the dispute ends up before an (arbitration) court, the situation is one of testimony against testimony. If one party has documented everything, but the other has not, it will be very difficult for an (arbitration) judge to decide “against” the documentation. Employees must hence be encouraged to report conflicts internally at an early stage. Those who conceal a conflict because they fear that it will cause them difficulties usually only make the problem worse. If it becomes apparent that the conflict cannot simply be resolved, external legal experts should be consulted. In contrast to in-house lawyers, these lawyers are usually much more specialized and know more precisely how to proceed in the event of a dispute. They need not (yet) make an external appearance but should be on hand internally to advise. Here, too, it often turns out that the additional costs are well worth it, as the involvement of an external lawyer allows the risk of the conflict to be better assessed or, ideally, even quantified (Landbrecht & Gabriel, 2017). Lawyers that are employed by a contracting party are often not entitled to represent the company in court in the event of a dispute (and, in some countries, are even legally prohibited from doing so). Care should be taken to ensure that communication with the contracting partner remains constructive. General accusations without proposals for solutions are not helpful. However, a breakdown of communication also does not help.

Court Proceedings (Arbitration)

The type of dispute resolution applicable in the respective transaction is to be taken from the contract itself. It is important to bear in mind that alternative methods of dispute resolution (e.g., mediation, conciliation, adjudication, and arbitration) only lead to a final resolution of the conflict if the parties want it to happen. For example, a settlement reached in mediation can only be enforced (like a state court verdict would), if this is explicitly agreed in the contract. Otherwise, the parties are not bound by the proposals resulting from a mediation process (unless they agree otherwise). It is undisputed that virtually all companies need external assistance for proceedings before (arbitration) courts in order to conduct them successfully. However, this does not mean handing over the entire litigation to the external lawyer. Rather, each party to the dispute should make important decisions, such as the objectives and the litigation strategy, with the aid of the external lawyer.

If one outsources the entire process management to external third parties, there is a risk that these parties will manage the process in a way that suits their interests. In very few cases is this completely in line with the interests of the company itself. The **principal-agent problem** can be seen here. The company should therefore always take an active role; a good contract manager must also always manage their own external lawyers in preparation for and during the process (van Hooft & Becker, 2017).

For example, Maria, who works at an international law firm, was given the freedom by Satellites International GmbH to conduct the arbitration process as he saw fit. She knows that the “Production of Documents” section (which states that the parties to the dispute must

The principal-agent problem

The interests of the principal (e.g., the party involved in a dispute) and the agent (e.g., the party's lawyer) are not completely identical. It may therefore be in the interest of the agent to prolong the process (for which they are being paid), while the principal is interested in resolving the conflict as quickly and cheaply as possible.

produce their own documents if the other party has a justified interest in an arbitration) is of great importance to her and her team. She also knows that it is very time-consuming and therefore cost-intensive to compile the documents. Even though there is very little to be gained for Satellites International GmbH from exploring this section in great detail; Maria insists otherwise. The costs of the proceedings therefore increase considerably. This benefits John and his team but is of little benefit to his client.

Regardless of whether external counsel is involved, all parties should keep an eye on their respective conflict resolution budget. A good lawyer will therefore also discuss the possibilities of financing the process with the company (Wegmüller, 2017).



SUMMARY

Conflicts are a fact of life in most transactions. A world without conflicts would be a utopia. Therefore, companies should deal proactively and constructively with the issue instead of deliberately avoiding it. When resolving conflict, the good contract manager must always keep fact- and solution-oriented decision-making in mind. We have seen that problems must be separated from people. Conflicts are very expensive: not only in terms of external costs, but also in terms of the internal resources they tie up.

Even though (arbitration) court proceedings are to be avoided, the necessary precautions must be taken. Good documentation is essential in this regard. Employees must report the conflict internally in good time so that superiors can make adequate decisions. It is advisable to seek legal advice from experts at an early stage. In the process, the good contract manager must take an active role and work together with external lawyers. This allows the dispute resolution to be conducted efficiently and, in addition to avoiding unnecessary costs, usually leads to a better process outcome.

UNIT 5

PHASE IV: ANALYSIS

STUDY GOALS

On completion of this unit, you will be able to ...

- understand why an analysis should be carried out upon completion of a project.
- identify who should carry out analyses.
- identify the necessary prerequisites for an analysis.
- describe what conclusions should be drawn from an analysis.

5. PHASE IV: ANALYSIS

Case Study

Peter, the project manager for the IndoSat project at Satellites International GmbH, has a meeting with his superior, Katharina. The deadline for the IndoSat project has recently passed and Katharina wants to hear Peter's summary of the project.

Peter is effusive in his self-praise: "The project was a complete success, Katharina! We stayed 17 percent under the estimated budget and the customer is satisfied. That hasn't been the case for a long time! I think all of us in the team really deserve a bonus."

Katharina nods in agreement, but she would like to know more from Peter. She asks him to prepare a detailed report within three weeks in which to answer the following questions:

- What were the decisive factors that kept the project under budget?
- Which parts of the project were not satisfactory?
- Where is the greatest potential for improvement for future projects?

5.1 Determining Success

Determining success is not easy. Success can be defined as a "favorable or desired outcome" (Merriam Webster, n.d.-b.). In our introductory example, the positive result is that Satellites International GmbH came in under budget and that the customer is satisfied. Nevertheless, there is always room for improvement. We can see from the questions raised by Katharina that only the final result is known at this point: she does not yet know how this positive result came about. Perhaps the process used to achieve this result was not as optimal as it could have been. Imagine that Satellites International GmbH was able to reduce its own costs by 32 percent through a revolutionary technical innovation in the field of satellite construction. This inevitably raises the question why Satellites International GmbH "only" stayed 17 percent under budget. What was sold as a great success by Peter now seems less than optimal.

Consider another example that illustrates that the mere result is not always a sufficient measure of success: Let us assume that Satellites International GmbH has exceeded their budget by 10 percent. However, 15 percent of the total costs are due to the failure of a supplier. This long-standing and usually very reliable supplier had in the past always delivered on time. This supplier was unable to deliver on this one occasion because a fire caused by lightning destroyed their factory. Satellites International GmbH was therefore forced to buy from another supplier at short notice. They were not only able to do this successfully, but were even able to partially make up for the additional costs incurred.

What may have appeared a failure at first really was a success: without the fire at the supplier's production site (which could not have been foreseen) Satellites International GmbH would have significantly undercut the estimated project costs. It can therefore be assumed that much was done correctly in the project. Would it be correct to conclude here that due to the budget overrun the project was a failure? Of course not. But only a detailed analysis of the project can reveal whether it had been carried out successfully. Financial success is usually achieved by making the right decisions during the project and acting accordingly. The right decisions will only have been made if the underlying assumptions had been correct. How can we determine whether this was the case in a project? The starting point of this analysis is when the supplier learns about the project and then subsequently makes the bid decision. The analysis ends when the project is concluded with respect to the contractor. Typically, this is the expiry of the warranty period. We will examine this procedure in more detail in the following sections. Here, two principles apply:

1. The analysis focuses on the time of the decision.
2. Even decisions that are correct can lead to negative consequences.

The Analysis Focuses on the Time of the Decision

In the previous example with the lightning strike, it can be assumed that the decision to choose this supplier was correct (they had been reliable for many years and were reasonably priced). Nobody could have foreseen that lightning would strike and destroy the factory. Therefore, the decision to work with this supplier again was correct at the time. Only in hindsight did it turn out to be problematic, which doesn't mean that it was the incorrect choice at the time it was made. When analyzing the project, one must therefore be careful not to presuppose knowledge that was only acquired after the fact. Instead, decisions must be evaluated in the context in which they were made (at the time of the decision). However, one can learn something for the future from the lightning scenario: the company could have taken out insurance or agreed on other payment conditions with the supplier.

Even Correct Decisions Can Lead to Negative Consequences

As a rule, a correct decision will have positive consequences and an incorrect decision will have negative consequences. If this were not the case, there would not be any point in trying to make the right decision. Nevertheless, one must always take into account that chance can play a role. Just because a decision is correct does not necessarily mean that there will be positive consequences. And even objectively incorrect decisions can lead to a positive outcome. In our example, Satellites International GmbH only stayed under budget because there was a technical innovation that massively reduced costs. It can be assumed that Satellites International GmbH made several wrong decisions beforehand; otherwise, it would not have been above its re-estimated budget. Based on these considerations, the following matrix can be created.

Table 1: Decision Matrix

	Decision: Correct	Decision: Incorrect
Outcome: Success		
Outcome: Failure		

Source: Sippel (2021).

Here, only one decision can be made at a time. A correct decision leads to either success (defined here as the positive outcome) or failure (defined here as the negative outcome). Therefore, this matrix only applies to a single decision. It cannot be applied to the project as a whole. Why is this matrix helpful? Because only this differentiation makes it possible to draw the right conclusions for future decisions.

Procedure for a Project Analysis

The project can be analyzed in the reverse chronological order (Berkel, 2016). The analysis begins in the here and now, with the actual outcome being revealed the end of the project. We then work in reverse chronological order (i.e., starting with the last events of the execution phase) until the point in time when the supplier became aware of the project. This point in time represents the earliest possible moment at which the supplier could have made decisions or assumptions. The number of decisions and relevant trade-offs varies from project to project. If you take into account all the decisions and trade-offs made in the course of the project, there are hundreds, if not thousands. Of course, some decisions are more important than others. This importance can be derived from the consequence of the respective decision. For example, it is obvious that the selection of a subcontractor from 15 suppliers with a more or less equally good offer is less important than the supplier's decision to sue the customer. The supplier should separate decisions based on importance to better focus their efforts. It is not worthwhile to think through all the decisions and considerations repeatedly during the analysis phase. This kind of analysis would occupy several employees and take months.

There are also other means of increasing the efficiency of the analysis. One example is the 80/20 rule (also called the Pareto principle (Juran, 2019)): The rule states that 80 percent of the results can be achieved with 20 percent of the total effort. Applying this principle to a project, usually about 20 percent of the decisions and assumptions are responsible for 80 percent of the level of success. These 20 percent of decisions and assumptions need to be filtered out during analysis. For the application of this and other possibilities to analyze efficiently in practice, see, for example, Rasiel (1999, p. 30). But even if you try to work very efficiently, this can still cause difficulties in practice. Every project is different, and it is not always easy to work out the relevant points. One often faces the initial problem that the number of decisions and considerations to be analyzed seems unmanageable.

It is therefore highly recommended to work with standard questions that are adapted to the respective project. This way, the analysis does not start at ground zero, but a little further on, so the start of the analysis process is easier to manage mentally. Here is a useful checklist (Berkel, 2016, p. 204):

1. Execution

- Was the intended project outcome achieved?
- Was claim management successful in securing and improving results?
- Were the cost/benefit considerations made when selecting the conflict resolution mechanisms appropriate?
- Were the conditions precedent reasonable and sufficient?
- How can future contract executions be made (even) more successful?

2. Negotiation

- Was the intended negotiation goal achieved?
- Were the negotiating risks quantified appropriately?
- Were all relevant risks accurately presented in the internal approval process?
- Were the right decisions made in risk quantification and internal approval?
- Was the negotiation of what was planned successful? Was the mutual win-win potential of the deal realized?
- Was the negotiation of the unplanned successful? Was the win-lose negotiation effectively conducted for its own benefit?
- How can future negotiations be conducted (even) more successfully?

3. Bid preparation

- Was the bid/no bid decision made correctly?
- Were all essential elements of the contract correctly included in the offer?
- Was the right balance found between own positioning and anticipation of customer requirements?
- How can future offers be prepared (even) more successfully?

Prerequisites for a Successful Analysis

Documentation

Even when you have a good checklist and strive for efficiency, this does not guarantee that an analysis will be successful. The events that you scrutinize may have taken place quite a while ago. For large projects, this can often be more than ten years. In such cases, almost no one remembers with certainty what happened at the time. This is especially true for construction projects, where one day on the construction site is often very similar to the next. After six months, and without records, it is difficult to say whether a given milestone took place on the fourth or the sixth day of the month. Detailed documentation, along with proper archiving, is therefore a basic requirement for a successful analysis (and contract management). Ideally, this process begins even before the supplier has made the bid decision. This is the main decision as such, but it is already based on a multitude of considerations that no one will remember at the end of the project. It is also essential to take extensive notes on the oral contract negotiations in order to keep previous versions of the contract on file and properly organize the correspondence that takes place. This helps not only with analysis, but also possible contract disputes.

However, this is all much easier said than done. In the twenty-first century, documentation and archiving have become much more complex. If we look back just fifty years to the 1970s, typewriters were the standard. Often, these were not even electronic typewriters. Communication by fax was only possible to a very limited extent, and it was not until the end of the 1980s that almost every office had a fax machine. Many records were handwritten. Since then, technology development has made conducting negotiations as well as archiving much easier. Meetings take place much more frequently because video conferences can be used all over the world, often free of charge. Records are often maintained on the computer, but they also have to be filed properly. In the past, there was a single letter or perhaps a fax. Today, several people working on a project will email one another constantly. If someone leaves the company (changes are almost inevitable in long-term projects), their e-mail accounts are often not archived properly or even deleted. Important information can disappear forever.

The biggest problem, however, arises from instant messaging. Short messages can be written and sent in seconds. The speed of information exchange is both a curse and a blessing. While the entire process is accelerated, the exchange of information often only takes place between two people, and not the entire project group. If it is not even known which messages have been exchanged, meaningful archiving is impossible. Finally, there is the problem of when a project member leaves the company, their telephone is often reset by IT to the factory settings. Sometimes their private phone was also used for work. In this way, countless important pieces of information can be lost, so that, in addition to many other problems that arise as a result, such as difficulties in interpreting contracts, it is not possible to carry out a meaningful analysis after the project (Schifferl & Siwy, 2017).

Enterprise resource planning (ERP) can be an important aid here. ERP supports the entrepreneurial task of planning, controlling, and managing resources such as capital, personnel, equipment, materials, and information and communication technology in a timely manner and in line with the company's purpose. ERP software now often includes the option of archiving as standard. However, this requires that all information on the project is correctly categorized and stored, which is not the case—especially with instant messages (these sometimes cannot be linked to ERP software at all). Regardless of whether companies work with ERP software, concrete rules for communicating and archiving information are indispensable in today's communication landscape (Sinn et al., 2017).

Corporate culture of “honest reappraisal”

As with all processes, some decisions help the company itself, while others help the people involved. Ideally, of course, both can be accomplished, but this is not always the case. When an entire project is analyzed from A to Z, it is almost inevitable that mistakes and incorrect decisions will come to light. The project manager should be aware that not all decisions that have to be made in the context of a project can be correct. This is often not pleasant for the people involved who have made the incorrect decision or consideration. Let us stay with our opening example and with Peter. Imagine that he is under pressure because many projects have not gone according to plan in the past. If the financial result fits, he has little interest in going through the whole project. His position will get worse rather than better. He is already under pressure and, if the analysis reveals anything negative, he may even risk losing his position as project manager. Peter may therefore not wish

to really see a meaningful analysis. In the worst case, he will even try to sabotage the analysis or falsify the result. Ultimately, this can only be counteracted with the right corporate culture: one that does not focus on mistakes, but on possibilities for improvement and optimization. Allowing for this is the objective of this last phase of contract management. In practice, however, it is unfortunately the case that there is often a search for the “guilty party,” and finger-pointing can play a significant role. This does not lead to the desired success of the analysis, as all those involved ultimately shift the blame away from themselves and try to make others responsible.

Management, and especially those who carry out the analysis, must therefore clearly and credibly communicate that the purpose of the analysis is not to find individuals that can be blamed. Rather, it is about improving internal processes. Whether or not such communication will indeed be seen as true by the recipients depends on the corporate culture. An “honest reappraisal” is only possible in an environment that cultivates a constructive approach to mistakes.

Use of software

Very often, analysis is done by means of software. All processes throughout a project can be recorded and then analyzed. The use of software has the advantage that relevant information can be collected quickly and categorized better. Decision trees, along with other methods of visualizing decisions, can be incredibly helpful here. Nevertheless, the use of software is not a prerequisite for carrying out an analysis. In particular, no one should use the absence of software as a reason for not carrying out an analysis in the first place. Even without software, it is possible to identify possibilities for improvement within the framework of an analysis.

5.2 Lessons Learned

Those who carry out an analysis correctly will quickly find out where there is potential for improvement in the decisions and in the trade-offs. It is not always possible to say where this potential for improvement is greatest. This varies from company to company and from project to project.

During the analysis, Satellites International GmbH found that it had significantly overestimated its own manufacturing capacities in Bangladesh when making the bid decision. This error had an impact in the execution phase, when Satellites International GmbH had to buy additional production capacities from other companies. In the analysis, it becomes clear that everything was done correctly in the execution phase. The initial assumption regarding production capacities could not be corrected after the fact. While it will have been obvious for quite some time that additional capacities had to be bought, it may not be immediately clear where the mistake was made. It could also have been that resources were simply poorly allocated during the implementation phase. Or perhaps the reason was that production machine suffered a defect due to poor maintenance. Only a methodical analysis may unearth the true reasons for cost overruns, especially in projects with a long execution phase.

From their analysis, Satellites International GmbH can then draw the right lessons learned. They can deduce the need to better estimate production capacities in the future. If they investigate even more closely, they may see how to this can be better accomplished in the future. Perhaps the team that made the original calculation simply had the wrong figures, for example, because they had been communicated incorrectly from Bangladesh. It is also conceivable that the figures from another factory were used by mistake in the rush, or that the wrong numbers were used (e.g., the capacity per week was confused with the capacity per month). Mistakes like this can happen, especially when there is time pressure. Depending on the error, Satellites International GmbH will use the entire input resulting from the analysis and adapt its internal processes in the future. This **process optimization** should help to work better in the future.

Process optimization

This is the optimization of work, business production, and development processes and the related use of required resources. These are all subject to a process of continuous improvement.

If incorrect figures were submitted, the reporting needs to be adjusted. If another factory's figures were used incorrectly, for example, it may be helpful in the future to have an additional person look at all the figures on which assumptions are made for the bid decision. Alternatively, a standardized system could be developed so that production figures are always used in the same unit and format (e.g., capacity per week). The consequences that the company draws from an analysis therefore depend on the individual case. A very important step is always the shift from a general feeling that something needs to be improved here to the specific measures resulting from asking the question: "What specifically should we improve?" An analysis that only shows potential for improvement, without setting any steps so that the same inefficiencies or errors do not occur in the future, does not lead to the desired results. Note that the company may come across processes in need of improvement but may consciously decide not to make any material changes to them. If the effects of the non-optimized process are rather small, but the effort and costs necessary to changing them are very high, it may well make most sense to simply leave the process as it is. Every company that carries out an analysis should also have the courage to do so.

Finally, it is important that the lessons learned are communicated to everyone involved in similar projects. Thus, a small process improvement which originates from the lessons learned of a single project, but which is then applied across the board, can have a very big impact on the company as a whole.



SUMMARY

Analysis is the last step in contract management. It begins after the completion of the execution phase, i.e., usually at the end of the warranty period. Depending on the project, the analysis may take place well after acceptance of the project.

The analysis is a step of contract management that is easily omitted. This is because the entire project is already considered completed: when the warranty period has expired, there are no more (potential) obligations that need to be fulfilled. However, the analysis can be unpleasant because it reveals mistakes that were made during the project. The right

attitude during the analysis should therefore not be the search for errors as such; rather, it should be about finding potential to optimize processes and using it in the future. The best way to analyze a project is to review it and look at the most important decisions and considerations. Decisions should be analyzed in the context in which they were made then, not with the ex-ante knowledge of today.

Comprehensive and proper documentation, including archiving, is absolutely necessary for analysis. For reasons of timing alone, a proper analysis can only be carried out on the basis of well-kept records.

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